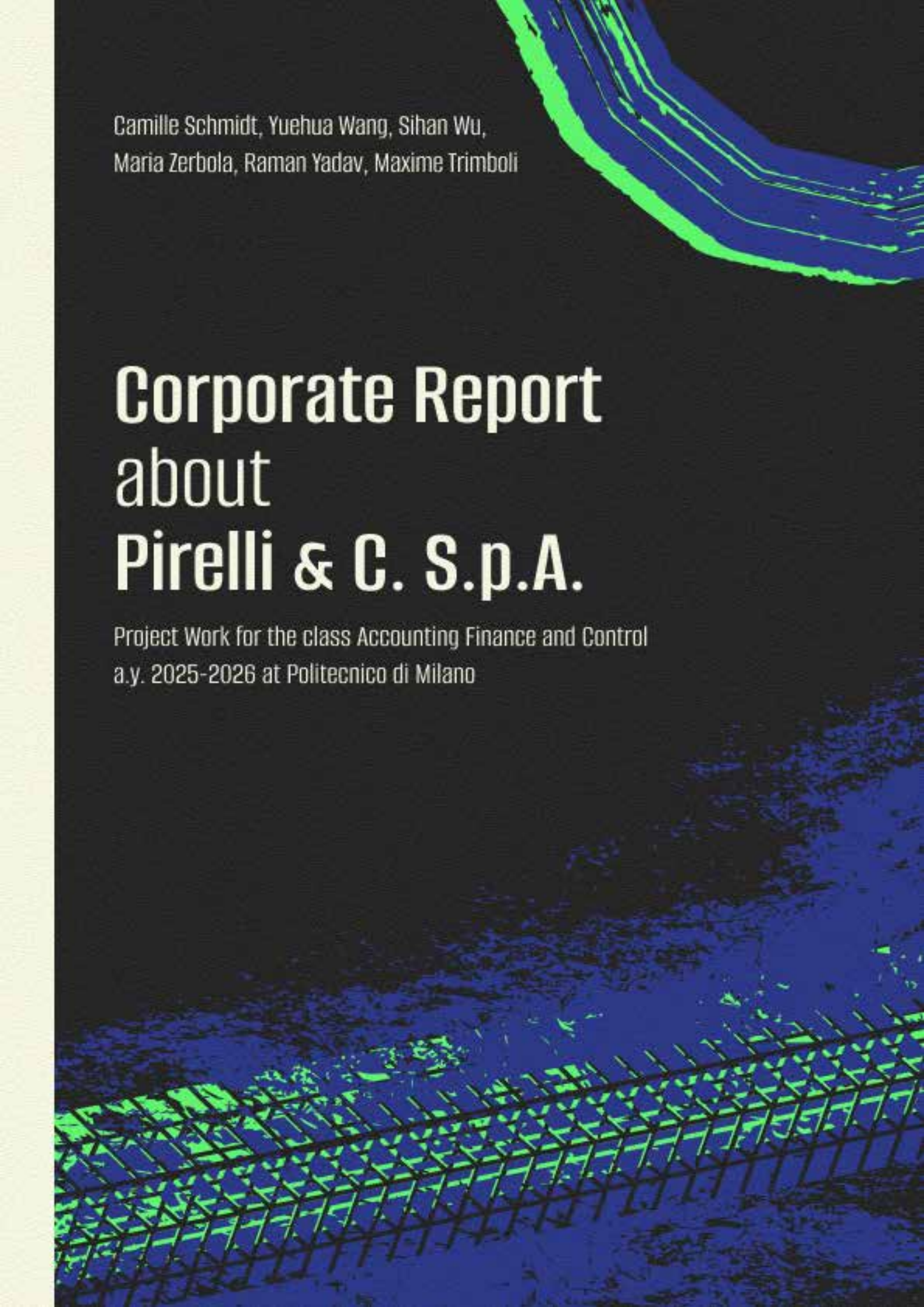




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Corporate Report about **Pirelli & C. S.p.A.**

Project Work for the class Accounting Finance and Control
a.y. 2025-2026 at Politecnico di Milano



Project Title: Corporate Report about Pirelli & C. S.p.A.

Group Number: 7

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Number of words: 3973

Number of words AI: 1478

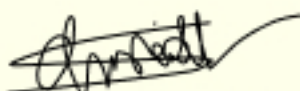
Project Period: September – December 2025

Academic Year: 2025/2026

Project hand in date: 23/12/2025

Declaration of authorship

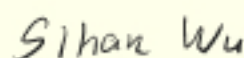
I hereby declare that the corporate report entitled "CORPORATE REPORT ABOUT Pirelli & C. S.p.A." has been carried out at Politecnico di Milano under the supervision of Prof. Marika Arena, Eng. Giulia Piantoni, Dr. Mattia Chiappari. The work is original, and it has not been submitted in part or in full for any degree or for any other purpose at any other university. I further declare that the material obtained from other sources has been duly acknowledged in the report.



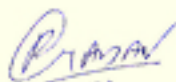
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We deliver high value tyres and mobility services so you can safely further your limits

PIRELLI'S MISSION

1.COMPANY OVERVIEW

Introduction

Pirelli, founded in Milan in 1872 for elastic rubber articles, is today the only Pure Consumer Tyre Company: fully focused on the consumer market. Its history shows constant evolution, from early bicycle tyres to embracing the motorcar age and defending its position today as a Global High Value Tyres leader. This product category is characterized by high performance, advanced technology, safety, and, on average, larger rim sizes. The core of its offering is the P Zero line, ultra-high-performance tyres. With a focus on the Original Equipment channel, Pirelli leads the Prestige segment through strategic partnerships with traditional and emerging carmakers.

Strategic Pillars

HIGH-VALUE LEADERSHIP

Pirelli prioritizes growth in $\geq 18"$ and EV-specialty tyres, broadening OE homologations and accelerating **premium range** refresh to differentiate on performance and safety.

CONNECTED & SMART TYRES

It scales **Cyber Tyre** with in-tyre sensors and cloud analytics, integrating with **vehicle ECUs** to deliver predictive maintenance, safety insights, and fleet services.

SUSTAINABILITY & DECARBONIZATION

Pirelli executes a **Net-Zero-2040 roadmap** by expanding low-wear, low-rolling-resistance "eco-safety" lines and raising bio and recycled content and circularity across operations.

LOCAL-FOR-LOCAL OPERATIONS

Pirelli deepens **regional manufacturing and sourcing** with AI-driven risk monitoring, reducing lead times and tariff and FX exposure while improving service resilience.

BRAND & PARTNERSHIPS

It leverages F1 and MotoGP platforms and premium OEM co-development to **amplify brand pull**, validate performance, and showcase EV capabilities.

PROFITABLE GROWTH & CASH DISCIPLINE

Margin leadership is sustained through pricing, mix and productivity, supported by **focused CAPEX and Hedging or commercial actions** to offset raw-material and macro volatility.

SWOT Analysis

STRENGTHS

- Iconic premium brand
- Top awareness and consideration in high value segment
- Superior profitability
- Large innovation scale and fast product range upgrades
- Strong sustainability leadership
- Resilient local-for-local manufacturing and AI-enabled supply-chain risk control
- Large, experienced and engaged workforce
- Stable leadership tenure

WEAKNESSES

- Narrower scope versus competitors
- Heavy realiance on High Premium tyres: segment concentration risk
- High investment intensity
- Complex global footprint
- Joint venture dependence in China and Indonesia
- Revenue concentration in the U.S.

OPPORTUNITIES

- Growing software-defined and connected vehicles
- High Value tyres demand outgrowing standard tyres
- Thighter eco and abrasion rules favor low-wear and low-RR eco-safety tyres
- Growth of usership and fleets (sharing and subscription)
- Regionalization of supply chains
- Global sports partnerships amplify brand and OEM access

THREATS

- Trade tensions and tariffs
- Rising geopolitical risk and supply-chain disruptions
- Intensifying competition
- Stricter emissions and abrasion regulations
- Macro slowdown risk
- Shareholder-related political scrutiny in some markets may constrain expansion in U.S

2.INDUSTRY OVERVIEW

The global tyre and mobility industry is navigating a period of structural transformation marked by technological disruption, sustainability mandates, as well as renewed geopolitical and economic volatility.

Following the pandemic-induced collapse of 2020, when global GDP contracted by -3,6%, tyre demand fell by around -15% (-17,6% in OEM channel and -14,5% in Replacement channel). It is noticeable that the most resilient segment in that period was the Car New Premium segment (-9,5% decline).

The rebound in 2021, supported by global GDP growth of +5,7%, was tempered by persistent supply-chain bottlenecks, semiconductor shortages, and surging input costs. Raw material

prices steadily rose during 2021, following the generalized decline during 2020 due to the slowdown in global demand (Brent crude down by -32,7% in 2020; +71% in 2021).

The subsequent period (2022-2024) was characterized by slower growth, shaped political tensions and inflationary pressures. Economic performance in 2022 was driven by high volatility and the global automotive tyre market recorded a -1,7% drop in volumes (-9% compared in 2019), mainly due to a drop in the Replacement segment. In 2023, raw material prices continued their path to normalization, following the peaks reached in 2022 in the wake of the Russian Ukrainian crisis. By 2024, the pre-pandemic volumes had still not been recovered.

Raw Material Prices (annual average)

	2019	2020	2021	2022	2023	2024
Brent (US\$/barrel)	64,5	43,2	70,8	98,9	82,3	79,8
%var		(33)%	64%	40%	(17)%	(3)%
Butadienne (€/tonne)	824	511	1006	1251	850	959
%var		(38)%	97%	24%	(32)%	13%
Natural Rubber TSR20 (US\$/tonne)	1406	1317	1678	1548	1378	1744
%var		(6)%	27%	(8)%	(11)%	27%

Figure 1: Prices of raw materials used in tyre industry, annual average and %variation

PESTEL Analysis

Companies that successfully integrate green compliance, digitalization, and financial discipline will likely maintain strategic resilience. Pirelli's case illustrates how aligning sustainability with product innovation can transform regulation from a compliance burden into a source of competitive advantage.

POLITICAL

- EU industrial policy links competitiveness with decarbonization
- Trade measures, including EU anti-dumping duties on Chinese truck and bus tyres
- Incentives for local production and shifting in trade dynamics (rising EU exports from Vietnam and Egypt, Chinese manufacturers exploring European capacity)

SOCIAL

- Growing consumer focus on sustainability, safety, and energy efficiency
- Rising EV adoption reflects evolving mobility preferences

TECHNOLOGICAL

- Electrification, digitalization reshaping tyre design and manufacturing
- Growth of EVs driving demand for specialized, high-performance tyres
- Development of connected tyre technology and increased R&D partnerships

ECONOMIC

- Inflation and energy price volatility affecting production and logistic costs
- Divergent monetary policies impacting cost structures and competitiveness
- Brent crude and raw material price volatility
- Need for financial discipline and access to green funding for capital-intensive technological adaptation

ENVIRONMENTAL

- Strong regulatory push for circularity and sustainability
- High tyre collection and recycling rates
- Increased investment in renewable energy, sustainable materials, and low-rolling-resistance products

LEGAL

- Strict compliance requirements on chemical use, fuel efficiency, wet grip, and noise
- Enforcement of circular economy rules

3.COMPETITORS' SELECTION

To identify Pirelli's most relevant competitors, we analyzed major global tyre manufacturers and ranked them using a weighted scoring approach (see annex 8.6). Nine companies were assessed, as shown in the table below.

We compared each company's product offering against Pirelli's across all tyre categories. This matrix highlights how closely each manufacturer competes with Pirelli in key segments and where product focus aligns or diverges.

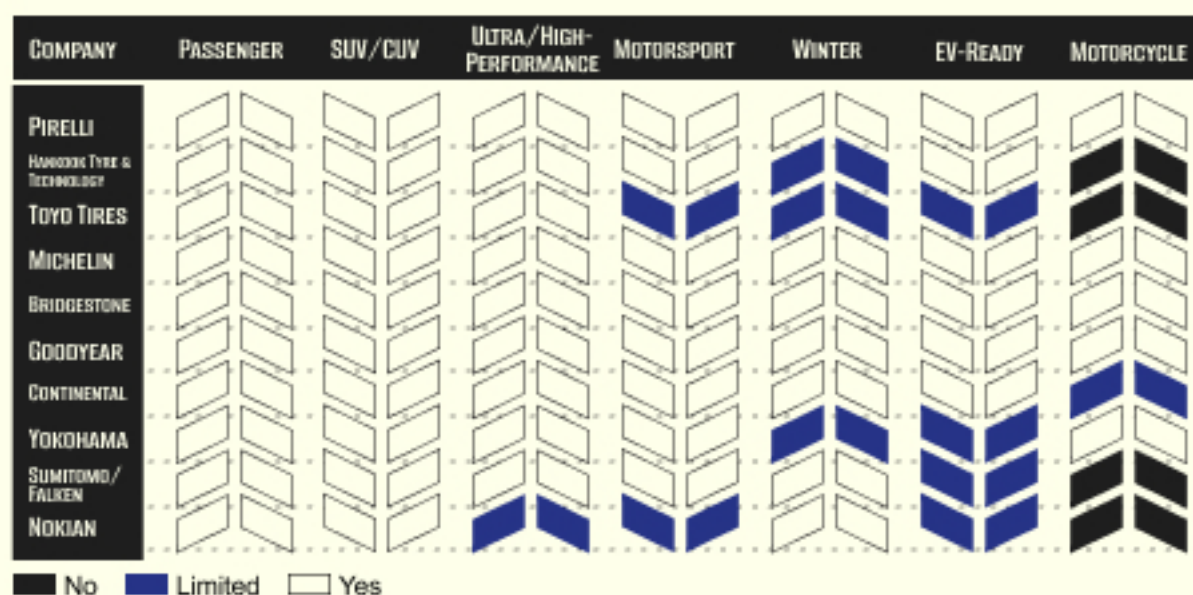


Figure 2: Products offering comparison among different tyres manufacturers

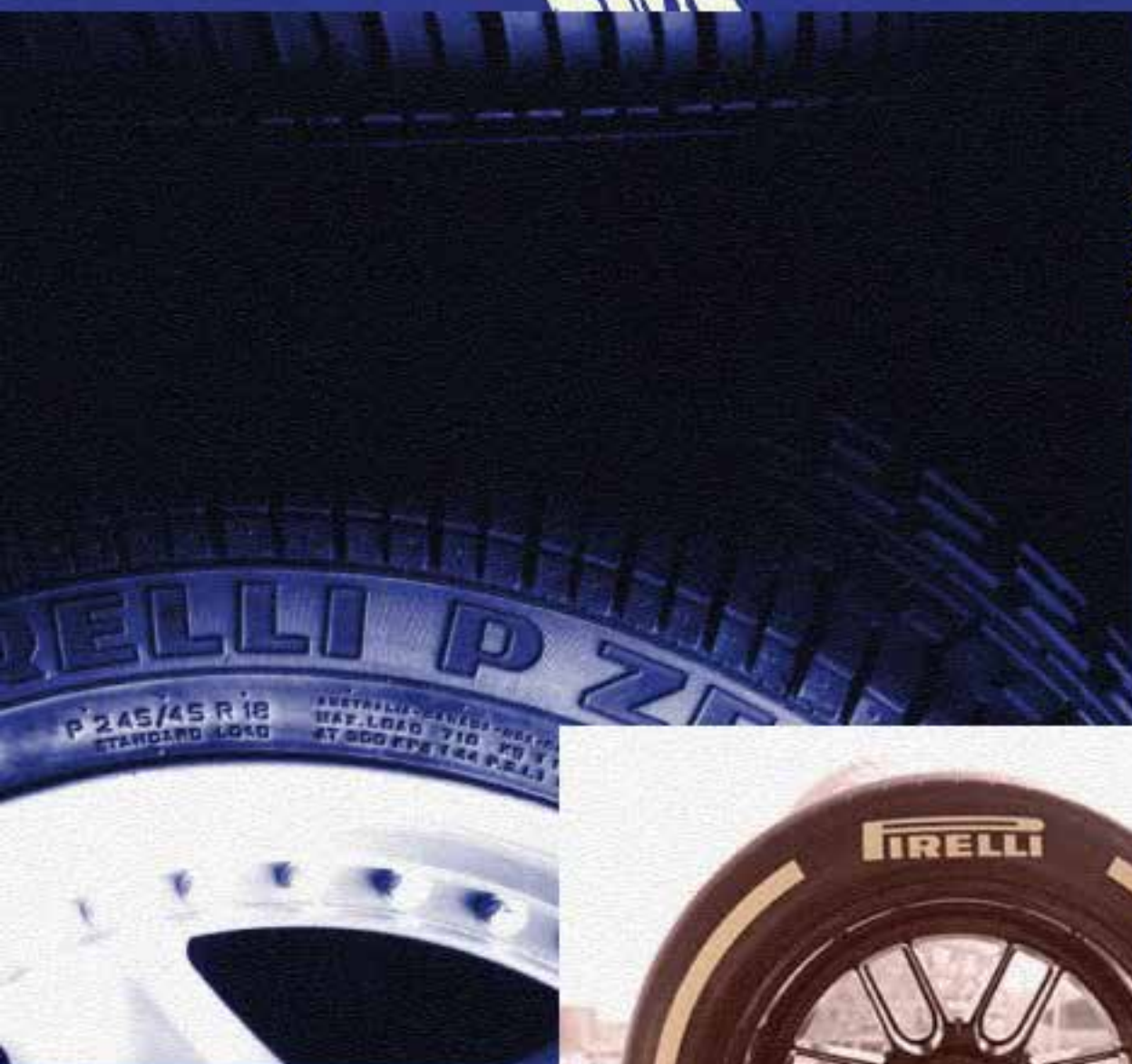
We then assessed each competitor using quantitative and strategic variables that reflect scale, technological commitment, and operational profile (see Figure 3). These included: revenues (market size), total assets (capacity and capital intensity), R&D intensity (innovation focus), employee numbers (organizational footprint), and product portfolio similarity (competitive overlap with Pirelli). The values reflect the reality of the year 2024.

COMPANY	REVENUE (EUR)	TOTAL ASSETS	R&D/ REVENUE	EMPLOYEES	PORTFOLIO BROADNESS (1-7)
Pirelli	€6.77 bn	€13.68 bn	4.27%	31'219	7
Hankook Tyre & Technology	€6.37 bn	€10.74 bn	2.68%	20'000	5
Toyo Tires	€3.71bn	€4.75 bn	1.39%	11'300	3
Michelin	€27.19 bn	€37.35 bn	2.90%	129'800	7
Bridgestone	€29.14 bn	€35.03 bn	2.90%	121'464	7
Goodyear	€18.14 bn	€20.14 bn	2.25%	68'000	7
Continental	€39.71 bn	€36.96 bn	7.30%	190'159	6
Yokohama	€7.20 bn	€1.14bn	1.80%	34'198	5
Sumitomo/Falken	€7.90 bn	€8.82 bn	3.00%	38'000	5
Nokian	€1.28 bn	€2.42 bn	1.90%	3'850	3

Figure 3: Quantitative competitors assessment

From the results of our comparative analysis, Hankook Tyre & Technology and Toyo Tires emerge as the closest comparators to Pirelli in size, product mix, and market position. Their revenues align closely with Pirelli (€6.77 bn), with Hankook at €6.37 bn and Toyo at €3.71 bn, unlike much larger multinationals such as Michelin, Bridgestone, Continental, and Goodyear. This reduces scale distortion and enables stronger benchmarking. The three companies also share a commercial footprint across Europe, North America, and Asia, and overlap in high-value PCR segments, making them more suitable comparators than niche players or diversified groups operating across broader industrial and product scopes.





4. FINANCIAL ANALYSIS

Profitability Analysis

Shareholders' Perspective

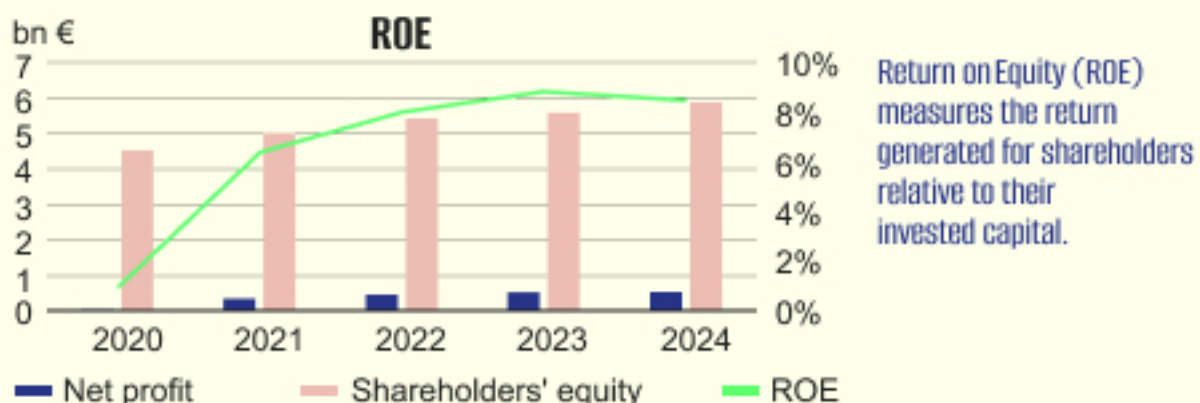


Figure 4: Pirelli's ROE 2020-2024

In 2020 the impact of the COVID-19 pandemic caused a sharp decline in global tyre demand, sinking Pirelli's net profit to only € 42'673k. From 2021 to 2023, the automotive industry recovered, and demand for high-performance tyres rebounded. In 2024, ROE decreased slightly (0,34%) compared to 2023, not due to a deterioration in profitability, but because of a different growth rate of shareholder's equity and net profit.

A stable and gradual increase suggests that Pirelli is improving its ability to generate value for shareholders. This trend can be linked to strengthened operational efficiency and a more effective financial structure (discussed later in the analysis). As ROE grows, the company becomes more appealing to investors seeking solid long-term returns.

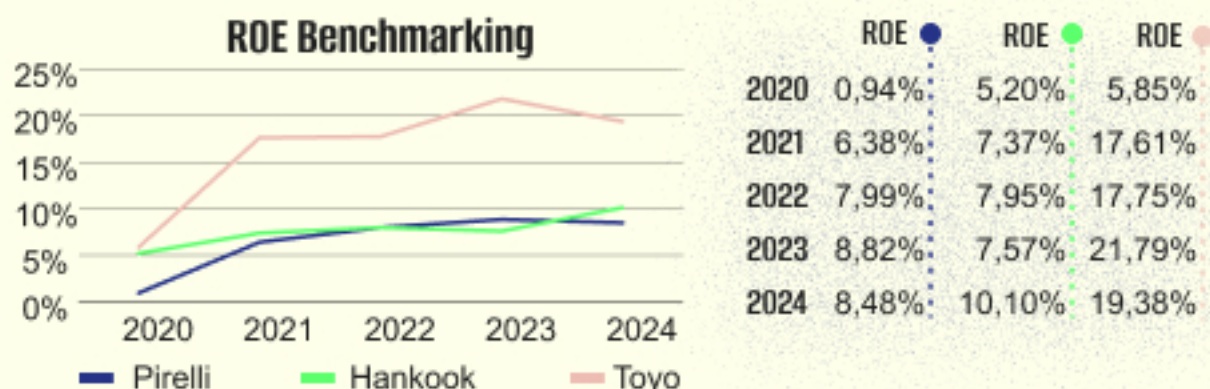


Figure 5: ROE benchmarking 2020-2024, graph and values

Nevertheless, compared to selected competitors, Pirelli shows lower ROE. On average, 9,95% lower than Toyo and 1,12% lower than Hankook. The strategic focus on high-performance tyres requires substantial investment in R&D and brand positioning, as evident from Figure 6. While this approach supports premium pricing and stable margins, it also limits the expansion of ROE due to higher capital requirements.

R&D/ Revenues	Pirelli	Hankook	Toyo
2020	4,52%	2,80%	2,35%
2021	4,51%	2,51%	2,18%
2022	3,99%	2,24%	1,80%
2023	4,34%	2,27%	1,83%
2024	4,27%	2,68%	1,93%

Figure 6: R&D/Revenues benchmarking

In contrast, Toyo follows a growth strategy driven by rapid scale expansion and capital efficiency. Its product portfolio spans mid-to-high-end segments, allowing it to operate with greater flexibility and achieve a higher ROE. Hankook has also strengthened profitability by growing the original equipment (OE) segment, surpassing Pirelli in ROE in 2024.

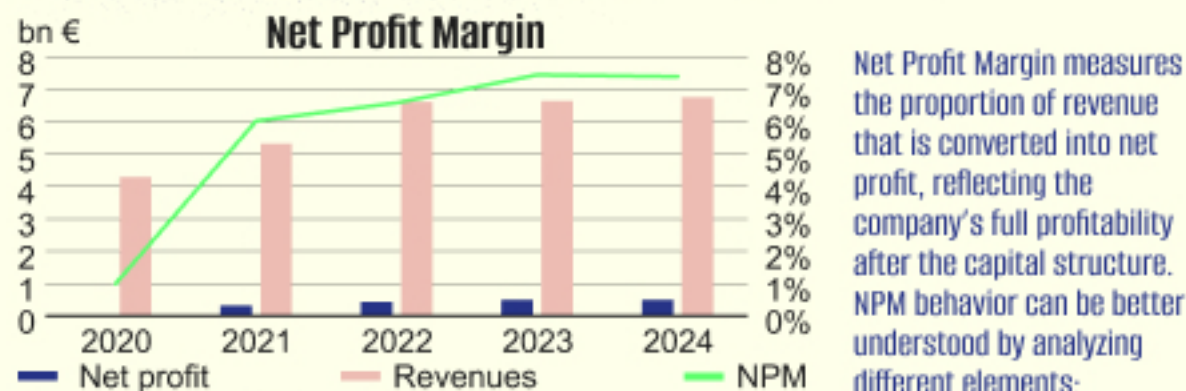


Figure 7: Pirelli's NPM 2020-2024

Net Profit Margin measures the proportion of revenue that is converted into net profit, reflecting the company's full profitability after the capital structure. NPM behavior can be better understood by analyzing different elements:

NPM = 1 —	Operating Costs Revenues	Net Financial Costs Revenues	Taxes Revenues		
Pirelli					
NPM	2020	2021	2022	2023	2024
	0,99%	6,03%	6,59%	7,46%	7,40%
Operating Costs / Revenues	98,30%	97,84%	96,25%	93,36%	92,85%
Net Financial Costs / Revenues	3,64%	2,71%	3,05%	2,92%	4,23%
Taxes / Revenues	0,34%	2,16%	2,41%	2,02%	2,17%
Others Incomes (Costs)/Revenues	(3,27)%	(0,12)%	(8,30)%	(5,76)%	(6,65)%

Figure 8: Pirelli's NPM breakdown 2020-2024

NPM improvement is largely linked to Operation profitability, therefore reflects the company's effort in improving production efficiency through automation, which enables the company to retain a higher share of revenue as net profit. The slight 0,06% decrease in 2024 is caused by reported higher financial expenses, but it should not alarm shareholders as it is only a one-off effect: due to IAS 29 monetary items in a hyperinflationary economy, such as Argentina where Pirelli subsidiary operates, must be adjusted for inflation to reflect their real purchasing power. In fact, operating profitability maintained its positive trend, reassuring shareholders of Pirelli's NPM improvement.

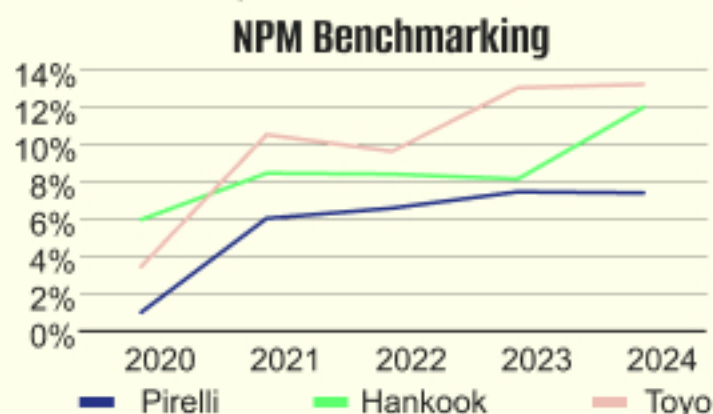


Figure 9: NPM benchmarking 2020-2024

Pirelli's figures consistently remain below compared to Toyo and Hankook.

All three companies show a steady improvement in operating profitability; Toyo commissioned its Serbia plant in 2022 and fully withdrew production from China in 2023, reallocating resources to high-margin markets in North America and Europe,

and implementing localized production in the U.S. to reduce logistics costs. In 2024, Hankook expanded its market share in the EV tyre segment, achieving higher gross margins. Pirelli though has significantly different leverage structure that will be discussed later in details.

Hankook	2020	2021	2022	2023	2024
NPM	5,97%	8,46%	8,41%	8,15%	12,02%
Operating Costs / Revenues	90,26%	91,01%	91,59%	85,15%	81,28%
Net Financial Costs / Revenues	0,57%	0,06%	0,02%	0,51%	0,80%
Taxes / Revenues	2,99%	1,70%	1,82%	4,95%	4,70%
Others Incomes (Costs)/Revenues	0,21%	(1,23)%	(1,84)%	1,24%	1,20%

Figure 10: Hankook's NPM breakdown 2020-2024

Toyo	2020	2021	2022	2023	2024
NPM	3,45%	10,53%	9,64%	13,06%	13,23%
Operating Costs / Revenues	89,43%	86,38%	91,14%	86,09%	83,38%
Net Financial Costs / Revenues	0,42%	0,28%	0,15%	0,03%	0,11%
Taxes / Revenues	1,11%	4,04%	3,75%	4,34%	4,74%
Others Incomes (Costs)/Revenues	5,59%	(1,23)%	(4,68)%	(3,61)%	(1,46)%

Figure 11: Toyo's NPM breakdown 2020-2024

To more clearly compare the attractiveness of the three companies for investors, we shall take a more direct approach and compute the Payout Ratio.

Payout Ratio	Pirelli	Hankook	Toyo
2021	0%	21,73%	2,02%
2022	24,86%	14,09%	3,15%
2023	42,53%	13,39%	2,04%
2024	44,94%	20,85%	3,29%

Figure 12: Payout Ratio Benchmark 2020-2024

Pirelli distributes back to the shareholders a significantly higher percentage of the income, about double compared to Hankook and more than 10 times more than Toyo. We can infer that in Pirelli shareholders' short-term returned is prioritized, making the company a profitable and reliable short-term investment.

Overall Company Perspective

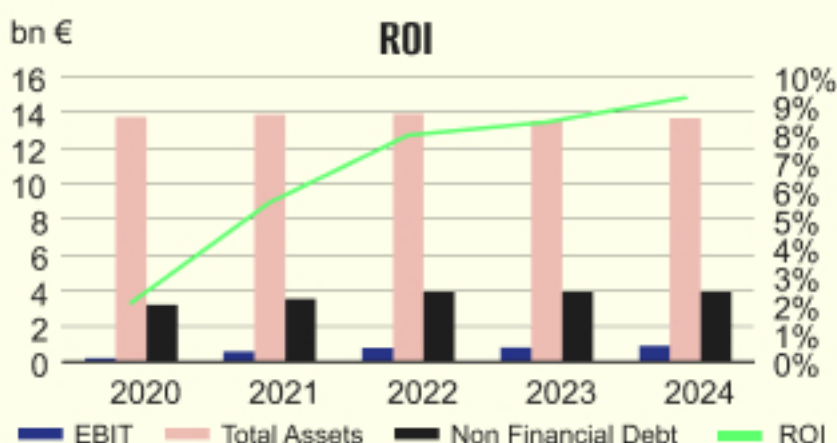


Figure 13: Pirelli's Return on Investment 2020-2024

ROI shows the efficiency of investments in operations.

Over the past five years, Pirelli's ROI has risen steadily, indicating sustained enhancement in asset profitability. Through the expansion of production capacity for high-value tyres,

continued technological investment, and the divestment of low-return assets, the company has strengthened the efficiency of its asset base. Meanwhile, revenue growth has significantly outpaced increases in raw material and personnel costs, driving EBIT up from 219'139 thousand € in 2020 to 902'990 thousand € in 2024. Overall, these factors reflect a solid improvement in Pirelli's operational efficiency and long-term financial sustainability.

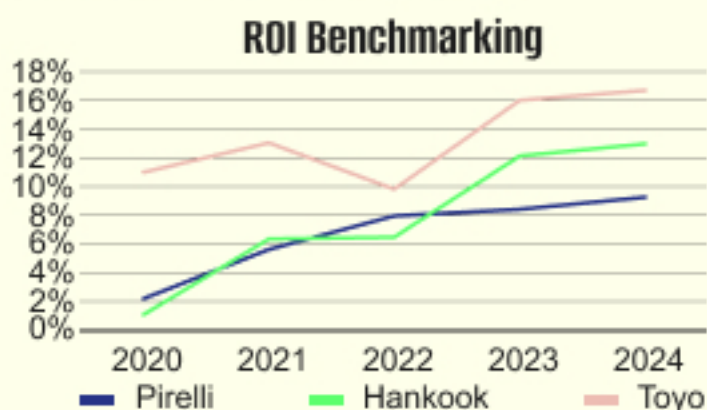


Figure 14: ROI benchmarking 2020-2024

Looking at the benchmarking, the three companies show an overall upward trend. Due to its larger asset structure, Pirelli presents the lowest average ROI, yet its growth remains relatively stable compared to its peers. Toyo and Hankook, on the other hand, show similar upward movements with more volatility.

In 2022, Toyo suffered a 22,16% year-on-year decline in EBIT due to a sharp surge in cost of sales and administrative expenses, while its expanding asset base dragged ROI down to a trough. Subsequently, slower asset growth and lower operating expenses supported an EBIT recovery. After 2022, Hankook expanded its OE tyre supply to premium brands,

and the scale effect of stable bulk orders improved capacity utilization and reduced cost of sales. At the same time, continuously increasing R&D investment strengthened brand premiumization, driving EBIT growth of nearly 130%.



Figure 15: Pirelli's Operating Profit Margin 2020-2024

DPM measures how much profit a company earns from its core business activities before interest and taxes, and it reflects the efficiency of its operating performance.

The trend indicates a strong performance for Pirelli, which is able to convert operating profits into returns efficiently.

The margin increased sharply in 2021 and continued to rise steadily from 2022 to 2024, with a cumulative improvement of 8,24% over the five-year period. With revenues consistently growing, EBIT expanded at a faster pace than revenue, reflecting ongoing improvements in the efficiency of the company's core operations.

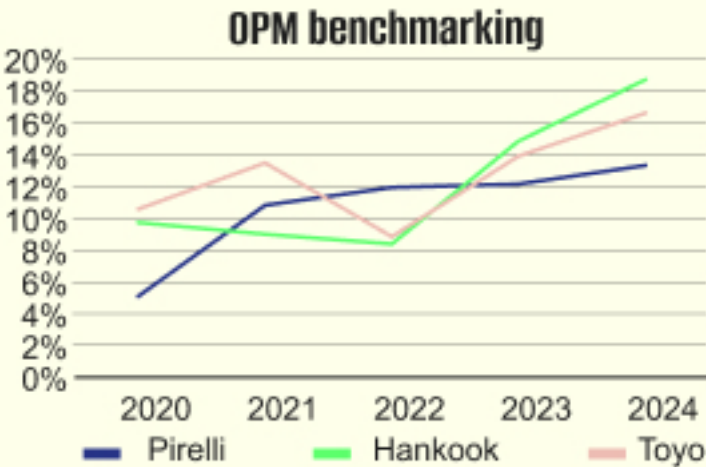


Figure 16: OPM benchmarking 2020-2024

Compared to competitors, Pirelli exhibits a relatively steady increase in operating profit margin. Although its average margin remains lower than that of its peers, the adjusted EBIT margin has much improved, rising from 11,6% to 15,7%, indicating a gradual strengthening of operating profitability. By contrast, Toyo experienced a sharp increase in selling and

administrative expenses in 2022, which caused its profit margin to decline to 8,86%. In subsequent periods, enhanced cost discipline supported a recovery in margins, underscoring the importance of effective expense management. Hankook presents a different trajectory from 2023 onward. While maintaining revenue growth, the company continuously optimized its cost of sales which substantially improved operating efficiency and enabled Hankook to achieve leading profitability efficiency among its peers.

Overall, Pirelli shows steadily improving profitability and capital efficiency, supported by effective asset restructuring, cost control, and a clear focus on high-value growth, positioning the company for sustainable long-term performance.

Stakeholders' Perspective

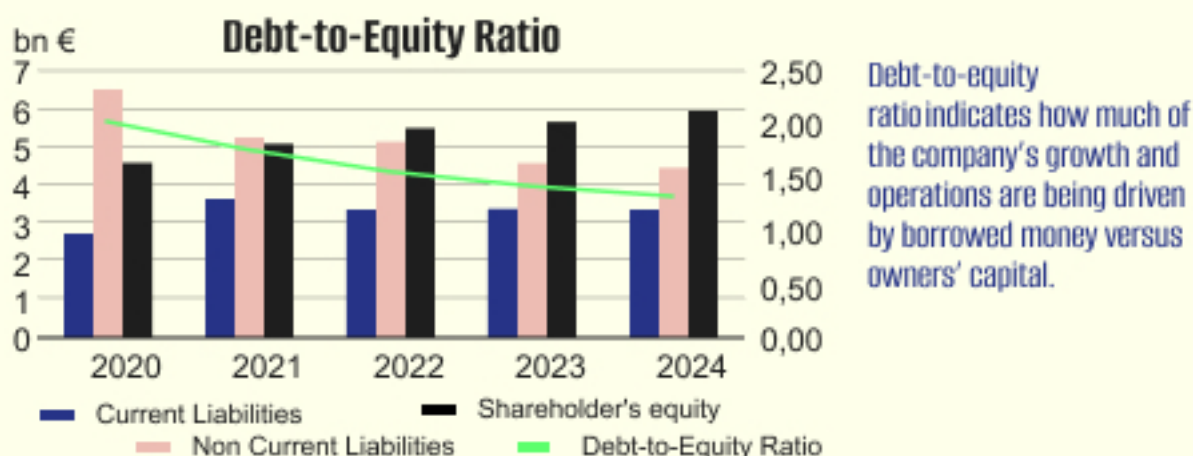


Figure 17: Pirelli's D/E 2020-2024

Pirelli's D/E ratio is consistently greater than 1 in the period considered, indicating that they have a debt-heavy capital structure. While this may imply a higher level of financial risk compared to its peers, the steady decline in the ratio highlights a clear deleveraging trend and a progressive strengthening of their balance sheet.

This improvement is driven by a gradual reduction in long-term borrowings combined with a continuous increase in shareholders' equity, mainly supported by retained earnings and growing reserves. The reduction in debt reflects

not only active maturity management but also early repayment of portions of financial debt, as documented in multiple years, confirming a deliberate deleveraging strategy.

The evolution of liabilities does not appear to be the result of a simple maturity reclassification, as it is not accompanied by a significant build-up of short-term financial debt. On the contrary, the Groups explicitly states that it adopts an extremely prudent approach to the management of debt maturities, refinancing well in advance in order to minimize liquidity risk and exposure to potential market disruptions.

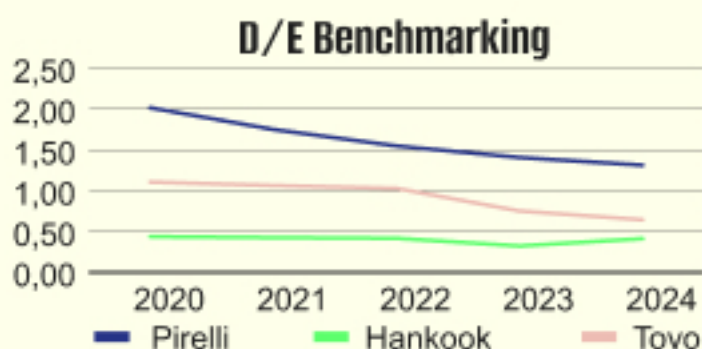


Figure 18: D/E benchmarking 2020-2024

Pirelli's capital structure continues to imply higher financial risk and sensitivity to interest rate movements, in contrast with the more conservative strategies adopted by its peers. However, the leverage ratio alone does not fully allow to capture financial risk. The analysis must be extended.

Toyo's moderate downward trend also reflects steady balance sheet tightening, with leverage reduced but still used to support expansion. Hankook appears to fund operations through internal CF rather than external borrowings, indicating a structurally conservative structure.

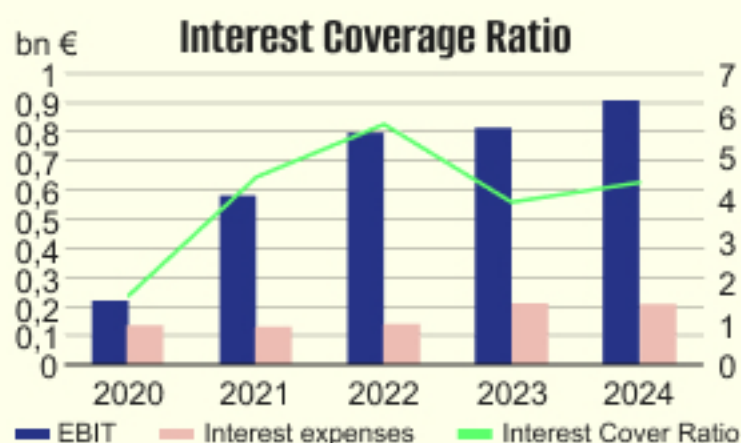


Figure 19: Pirelli's ICR 2020-2024

After peaking in 2022, the ratio declined sharply, falling from 5.76 to 3.88 in 2023, despite broadly stable EBIT. This deterioration is mainly due to an increase in interest expenses. Because a large share of Pirelli's bank debt (e.g., the Schuldschein loan) carries variable interest rates, the rise in Eurozone rate directly increased interest expenses without any significant increase in the borrowing. In addition, bond-related interest increased (i.e., issuance of sustainability-linked bon and higher charges in existing ones), while financial expenses at foreign subsidiaries also affected the ratio.

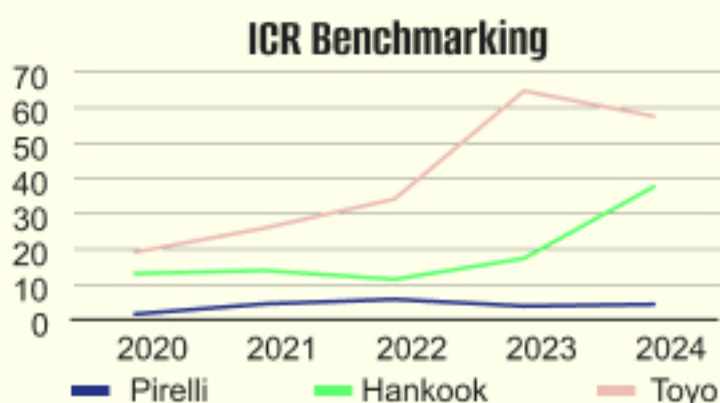


Figure 20: ICR benchmark 2020-2024

While borrowing costs have increased in a tighter monetary environment, Pirelli has simultaneously pursued a clear deleveraging strategy (i.e., declining D/E ratio and early debt repayments). While the interest coverage ratio remains low, it is actively supported by the previously mentioned active debt and maturity management.

Overall, this combination suggests that Pirelli's financial structure, while more leveraged than its peers, remains manageable and does not indicate any critical solvency risk for stakeholders.

Interest coverage ratio indicates how comfortably a company's operating profits can absorb its interest expenses.

As clearly visible in the graph, Pirelli's interest coverage ratio follows a non-linear curvature, reflecting both temporary effects and changes in the financing conditions.

In comparison, Hankook and Toyo maintain significantly higher ICRs, reflecting their more conservative capital structure and limited reliance on interest bearing debt, therefore showcasing larger safety buffers than Pirelli.

Cost of Debt		2022	4.04%
2020	1.94%	2023	5.08%
2021	2.38%	2024	5.06%

Figure 21: Pirelli's cost of debt 20-24

Liquidity Analysis

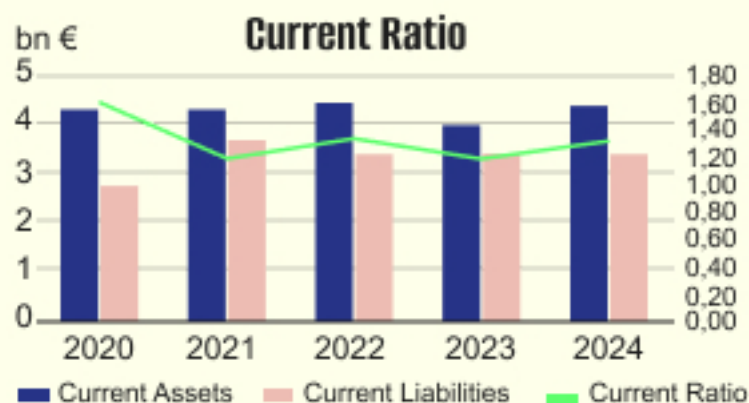


Figure 22: Pirelli's Current Ratio 2020-2024

The Current Ratio is the selected liquidity metric for this analysis.

We prioritized it over the Quick Ratio because, in the tyre industry, inventory is a non-perishable, stable working-capital asset essential for production continuity.

Pirelli's ratio remains consistently above 1, ensuring adequate coverage of short-term liabilities. However, the metric dropped from a peak of 1,60 in 2020 to 1,20 in 2021. This decline was primarily driven by a sharp rise in current liabilities (from €2,7B to €3,6B), reflecting a strategic shift toward short-term investment to mitigate post-COVID risks.

Simultaneously, Cash and Cash Equivalents showed a steady downward trend, falling from €2,27B (2020) to €1,25B (2023). Analysis of the Cash Flow statement links this decrease to financing activities, which shifted from positive inflows in 2020 to significant negative outflows in subsequent years due to debt management.

	Cash and Cash Equivalent	Net cash flow used in financing activities
2020	2'275'476 k€	439'398 k€
2021	1'884'649 k€	(1'084'646) k€
2022	1'289'744 k€	(1'404'693) k€
2023	1'252'774 k€	(979'583) k€
2024	1'502'741 k€	(610'700) k€

Figure 23: Pirelli's available cash and financing cash flow 2020-2024

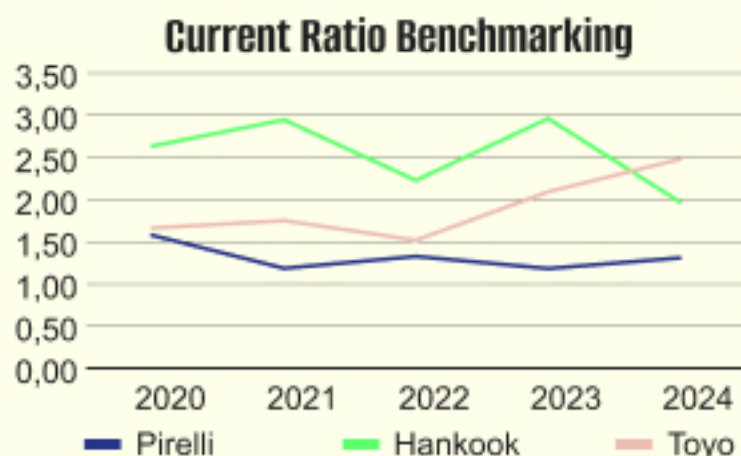


Figure 24: Current Ratio benchmarking 2020-2024

Comparatively, competitors like Hankook reinvest a smaller portion of generated value to target higher short-term returns. While this strategy lowers risk, it results in greater ratio volatility compared to Pirelli.

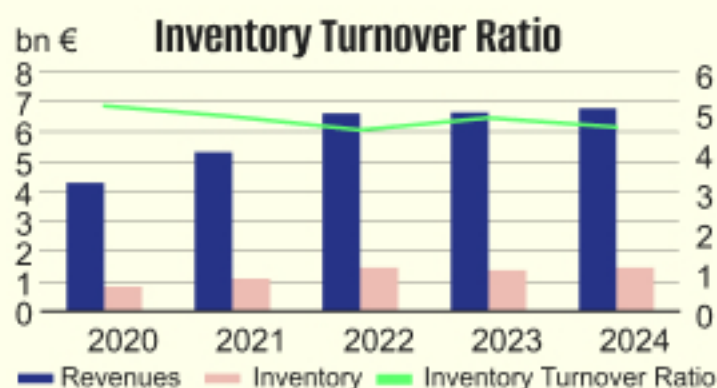


Figure 25: Pirelli's Inventory Turnover Ratio 2020-2024

The Inventory Turnover Ratio (ITR) measures the efficiency of converting stock into sales; a higher ratio indicates superior liquidity and a faster cash cycle.

Pirelli demonstrates remarkable stability, averaging 4,80x over the five-year period. However, the ratio saw a

gradual decline from 5,60 in 2020 to a low of 5,00 in 2022. This suggests inventory grew faster than revenue, likely reflecting a strategic decision to increase stock buffers against global supply chain disruptions.

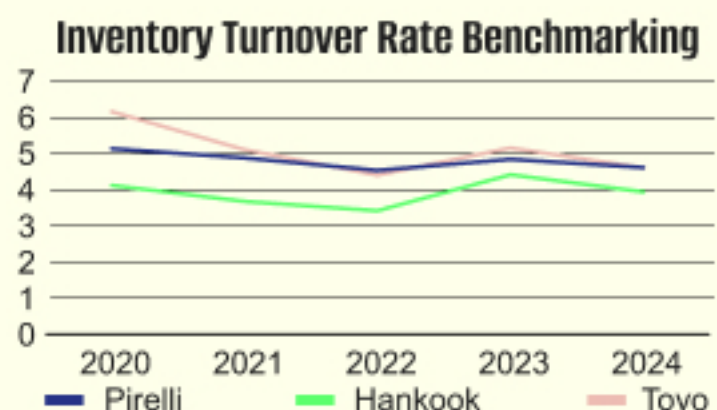


Figure 26: Inventory Turnover Rate benchmarking 2020-2024

This trend was industry-wide: competitors also experienced a significant decline in 2022 followed by a rebound in 2023, highlighting the impact of external factors. Positioned between the highly efficient Toyo and the lower-turnover Hankook, Pirelli confirms its status as a stable manufacturer.



Figure 27: Pirelli's CF to Debt Ratio 2020-2024

This indicator measures the company's ability to service and progressively repay its outstanding financial debt using internally generated operating cash flows.

There is a clear upward trend of the CF to Debt ratio for Pirelli from 2020 to 2023 and then it reaches a plateau and stays stable in 2024.

The main events that contributed to this change are decreasing non-current borrowings, while current borrowings remain stable. Derivative financial instruments, both current and non-current, also drop but they present a negligible percentage of the total financial debt.

Borrowings from banks and other financial institutions	2021	3'789 k€
	2022	3'690 k€
	2023	3'175 k€
	2020	4'971 k€
	2024	3'069 k€

Figure 28: Pirelli's Borrowings 20-24

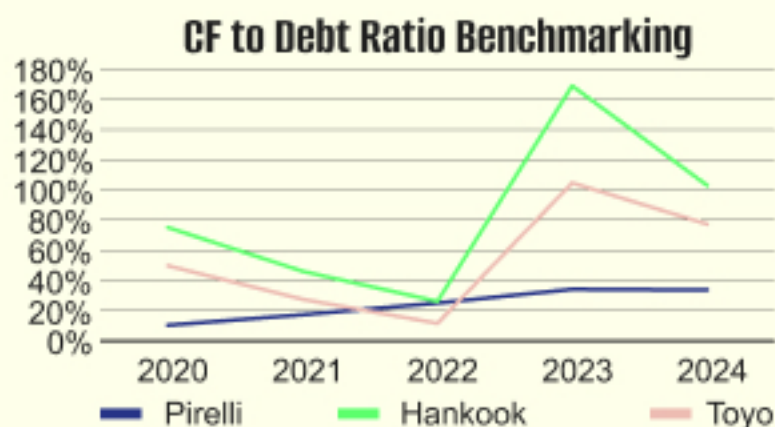


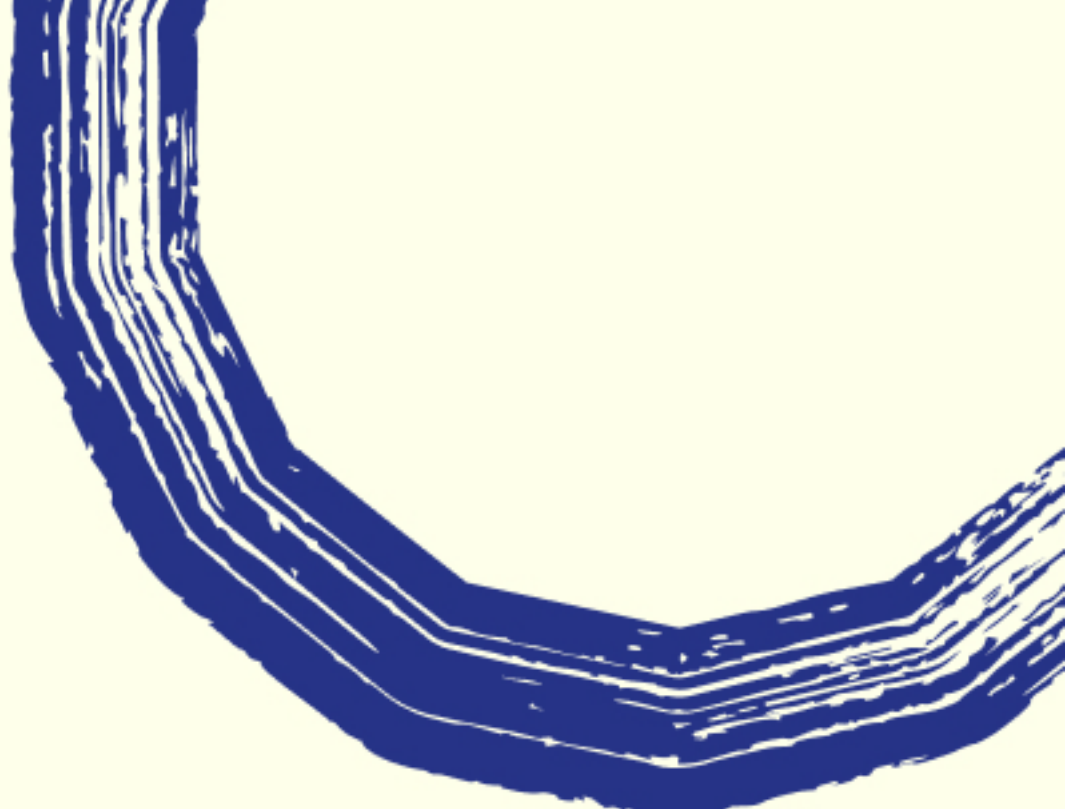
Figure 29: CF to Debt Ratio benchmarking 2020-2024

Comparing Pirelli's CF to Debt Ratio over the years with Hankook and Toyo we can clearly see the difference between a stable conservative company that leverages debt and the others evidently more fluctuating and not taking much advantage of financial debt for their growth.

In spite of the high volatility both companies present a similar behavior, more specifically, the trend follows the respective variations of Operating Cash Flow.

Conclusion

Taken together, the indicators provide a coherent assessment of Pirelli's liquidity. A consistently positive Current Ratio confirms adequate coverage of short-term obligations, despite a gradual reduction in cash balances. Stable Inventory Turnover, broadly aligned with peers, indicates disciplined working-capital management, with inventories acting as a controlled liquidity buffer rather than a source of strain. Meanwhile, the improving Cash Flow to Debt ratio reflects a strengthening ability to service and reduce financial debt through operating cash flows. Overall, Pirelli shows adequate and improving liquidity, tempered by moderate risk inherent to its capital-intensive business model.



5. AI ANALYSIS

We used Google's Gemini tool to conduct the AI financial analysis, specifically using reasoning models. We provided Pirelli's financial statements for each of the years and the computed indicators, including those of the selected competitors. Our goal was asking the AIs to identify patterns in raw

financial data and indicators, then provide an interpretation of the indicators, searching for explanations or context that could explain those. We then compared the AI output and our own interpretations and conclusions. All the chats, including the prompts, will be delivered with the report.

Profitability Analysis

AI's Analysis

Pirelli has demonstrated strong recovery post-2020, with revenues growing 57% from €4.3B to €6.8B and Operating Margin more than doubling from 5,1% to 13,3% by 2024. This reflects improved cost management and a likely shift toward high-value products. Net income surged from €43M to over €500M, though Net Margin has plateaued around 7,4% in recent years, suggesting limits from non-operating costs like interest expenses.

Benchmarking Analysis

Compared to Toyo Tires and Hankook, Pirelli shows operational progress but faces challenges in capital efficiency. The company carries significantly higher leverage with a Debt-to-Equity ratio of 1,31 versus 0,42 for Hankook and 0,65 for Toyo, resulting in higher interest burdens that constrain Net Margin. Pirelli's Asset Turnover of 0,50 is the lowest among peers, indicating less efficient asset utilization compared to Toyo's 0,78. However, Pirelli demonstrates the most consistent margin improvement since 2020, reflecting successful turnaround execution.

Key Insights

Despite showing the highest leverage, Pirelli posts the lowest ROE at 8.5% versus Toyo's 19.4%, as debt costs and lower asset efficiency dampen returns. Toyo leads in operational efficiency with superior margins and asset turnover. Pirelli's aggressive dividend policy with a 44.9% payout ratio contrasts with peers and signals management's focus on shareholder returns despite lower comparative performance. The broader tyre industry shows healthy post-pandemic recovery, though Asian competitors maintain leaner capital structures and higher profitability than their European counterparts.

Comparing Interpretations

AI analysis diverges significantly from ours in their interpretation of Pirelli's financial position. Gemini framed the company's high leverage as a fundamental weakness, describing a "leverage paradox" where substantial debt fails to amplify returns for shareholders. In contrast, we emphasized the positive trajectory, highlighting how Pirelli has successfully reduced its Debt-to-Equity ratio from 2.02 to 1.31 through deliberate deleveraging and prudent debt maturity management.

Similarly, AI characterized Pirelli's lower asset turnover as an efficiency problem compared to competitors like Toyo, while we thought of it as a strategic choice, arguing that substantial R&D investments of nearly €290 million annually support premium positioning and long-term competitive advantage rather than representing operational inefficiency.

Regarding the risk assessment, Gemini analysis highlighted financial vulnerability from high leverage. Our analysis presents a more balanced view, acknowledging interest rate sensitivity but demonstrating improving interest coverage ratios and active liability management that suggest risk is being controlled and gradually reduced.

AI analysis overlooked several critical dimensions. The component breakdown of Net Profit Margin into operating costs, financial costs, and taxes would have revealed that margin improvements stem primarily from operational efficiency rather than financial engineering.

The treatment of financial expenses reveals another issue. AI noted these costs as persistently dragging down Net Margin compared to peers. Through our research, we found that the 2024 spike in financial expenses was largely a one-off accounting adjustment related to hyperinflation in Argentina under IAS 29, while underlying operational profitability continued its positive trend.

Finally, the AI analysis lacks detail on specific competitor initiatives such as Toyo's production reallocation to high-margin markets and Hankook's EV tyre segment expansion, which would have provided important context for understanding their superior metrics and whether Pirelli's different trajectory represents a disadvantage or simply an alternative strategic path.

Liquidity Analysis

AI's Analysis

Pirelli operates a "lean" liquidity strategy prioritizing cash flow generation over large cash buffers. The Current Ratio of 1,31x (2024) provides adequate but thin coverage, while the Quick Ratio at 0,84x falls below the critical 1,0x threshold, indicating reliance on inventory conversion to meet short-term obligations. Cash holdings recovered to €1,50 billion in 2024 from a 2023 low of €1,25 billion.

Operating Cash Flow doubled from €618M (2020) to €1,29 billion (2024), demonstrating strong cash generation.

Despite increased Capex of €404M for modernization, Free Cash Flow reached a robust €889M in 2024, validating the low-liquidity strategy.

Working capital management shows significant improvement, with Days Sales Outstanding reduced from 93 to 59 days between 2020-2024, effectively releasing over a month's revenue into cash. Inventory Turnover remains stable at 4,61x. Temporary cash dips in 2022-2023 resulted from substantial debt repayments (€2,1B in 2022), with 2024 recovery indicating stabilized deleveraging.

Benchmarking Analysis

Pirelli's liquidity profile differs structurally from Asian competitors, emphasizing efficiency over safety buffers. With a Current Ratio of 1,31x versus Hankook's 1,97x and Toyo's 2,48x, peers maintain 50-90% larger liquidity cushions. Pirelli's Quick Ratio of 0,84x is the only one below 1,0, signaling higher dependence on continuous sales compared to Hankook (1,28x) and Toyo (1,44x). However, Pirelli matches Toyo's best-in-class Inventory Turnover at 4,61x versus Hankook's 3,95x. The Cash Flow to Debt ratio reveals a stark contrast: Pirelli at 33,75% versus Hankook's 103,10% and Toyo's 77,45%, showing peers can service debt much faster. While Toyo and Hankook operate conservative "fortress balance sheets," Pirelli's leveraged model deliberately minimizes trapped capital through fast inventory movement and aggressive collection, though appearing riskier on paper.

Key Insights

Pirelli operates a high-efficiency, high-stakes liquidity model built on velocity. The Quick Ratio below 1,0 creates vulnerability to sales disruptions, as the company relies on converting inventory to cash for meeting obligations. The 34-day reduction in DSO since 2020 represents a critical strategic achievement, freeing hundreds of millions in working capital and substituting for external financing during 2022-2023 interest rate hikes. Despite appearing tight, financial flexibility is supported by massive Free Cash Flow of €889M, ensuring easy servicing of short-term obligations as long as operations remain profitable. The overall trend is positive, with cash holdings rising and working capital metrics at five-year best levels, demonstrating successful navigation of post-pandemic volatility while maintaining high capital investment.



Comparing Interpretations

The AI's inclusion of Quick Ratio (0,84x) and emphasis on it being "below the critical 1,0x threshold" creates a more alarming picture than our analysis does not give, by focusing on the more appropriate Current Ratio for this industry.

Our analysis identifies a crucial industry-wide pattern, namely the synchronized decline in Inventory Turnover across all three companies in 2022, followed by rebound in 2023. The AI, while still noticing the stable ratio, completely misses this pattern, losing important industry context and challenges. We explicitly noted this and suggested that external factors are impacting the industry's ability to turn over inventory, demonstrating awareness of sector-wide dynamics.

Our analysis also explores potential explanations for competitor behavior,

noting that Toyo and Hankook's volatility might stem from shared Asian market factors and attempting to investigate COVID crisis responses and asset sales. The AI version simply characterizes competitors as operating "fortress balance sheets" without exploring the drivers of their different patterns or the external factors creating their cash flow volatility.

Those divergent focuses create very different narratives, ours being more balanced (i.e., adequate and improving liquidity, disciplined working-capital management and increasing debt sustainability) as opposed to the more 'dramatic' AI scenario (i.e., "high-efficiency, high-stakes" and a quick ratio revealing vulnerability to sales disruptions).

Conclusions

The comparison of AI analysis and ours highlights both the strengths and limitations of using AI in financial analysis, emphasizing how its narrative-driven approach differs from human analytical judgment. AI systems tend to adopt prescriptive narrative frameworks, constructing coherent strategic stories, such as “lean liquidity strategies” or “leverage paradoxes”, to explain observed financial patterns. While this results in polished and compelling analyses, it also introduces the risk of overstating strategic intent and presenting assumptions as established facts, even when the underlying data may support multiple interpretations.

A key distinction lies in contextual and industry-specific understanding. We believe human analysts demonstrate better understanding company-specific circumstances and sector dynamics that can fundamentally change how financial metrics are interpreted. In contrast, AI often over-interprets outcomes as deliberate strategic choices.

Several AI-specific limitations emerge. First, AI lacks domain-specific judgment, making it difficult to determine which metrics are most relevant across industries, leading to misplaced emphasis (such as prioritizing quick ratios in capital-intensive manufacturing). Second, it struggles to integrate external knowledge, such as industry trends, regulatory changes, or macroeconomic conditions, which are often essential for explaining financial performance. Also, AI relies heavily on pattern recognition, identifying correlations without reliably establishing causation. Finally, AI rarely questions data quality or reporting inconsistencies, such as unexplained accounting anomalies or differences in reporting standards.

These observations suggest that effective financial analysis benefits from a hybrid approach. AI excels at rapid metric computation, structured frameworks, and comprehensive coverage, but human judgment remains essential for contextual interpretation, critical inquiry, and informed decision-making.



6. OUTLOOK AND CONCLUSION

During the period analyzed, the strategy's focus on the high-value and premium tyre segment proved fruitful, judging by the improvement in Pirelli's operational efficiency. The gradual increase in EBIT margin and operating profit highlights better execution and shows that the brand's product portfolio is correctly responding to market demand. As for ROE, which reached 8.4% in 2024, these levels of return can largely be attributed to the very nature of the industry in which Pirelli operates: it requires enormous amounts of capital and constant investment in R&D to support technological leadership and brand differentiation in the high-performance segment.

From a stakeholders' perspective, the company's financial profile has become more balanced. Leverage has declined consistently, indicating prudent and proactive debt management, while liquidity remains adequate, supported by recovering cash levels in 2024. At the same time, the rise in the cost of debt to around 5% and the sensitivity of interest coverage during periods of monetary tightening underline the importance of continued financial discipline. The improvement in cash-flow-to-debt capacity suggests that future performance will increasingly depend on sustained cash conversion efficiency and working-capital control rather than further balance-sheet expansion.

Looking ahead, the global tyre industry is expected to face a challenging environment, characterized by moderate demand growth, volatile raw-material prices, and persistent competitive pressure. However, premium and high-performance segments should be expected to remain more resilient, as seen in the past, thanks to most customers increasingly favoring higher safety standards and improved environmental profiles. In this context, Pirelli's historical ability to defend margins during adverse cycles supports a cautiously positive outlook. This resilience is reinforced by its strong brand positioning, technological expertise, and growing focus on sustainability. Based on past performance under similar conditions, Pirelli appears well positioned to preserve operating stability and financial resilience, provided that cash discipline and non-financial value drivers continue to effectively complement its financial strategy.

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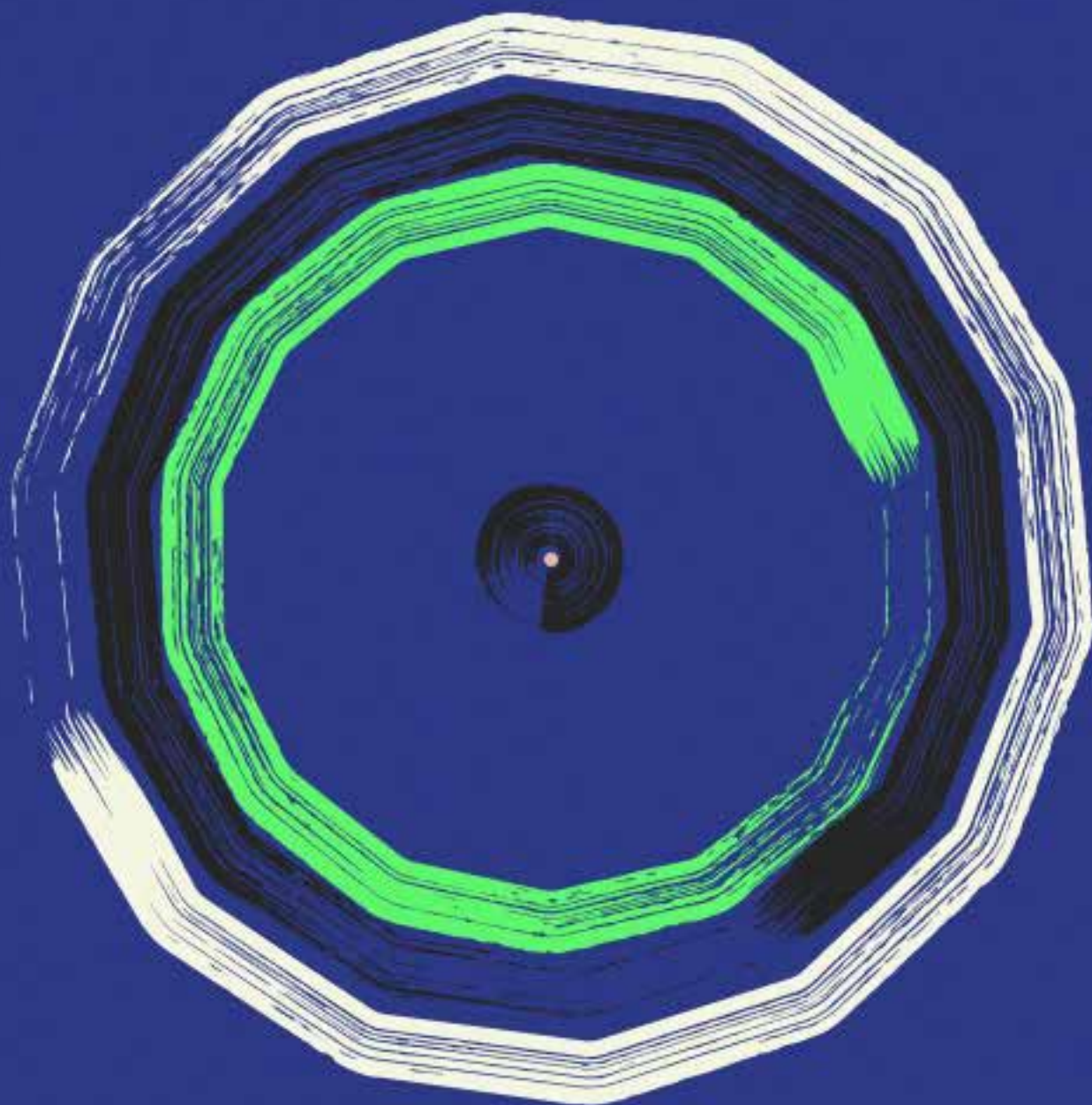
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ANNEXES

Indicators Computation

Refer to the excel file provided named: **AFC_Group7_Financial analysis Pirelli**

For easier and quick access see, in alternative, the online version:

[AFC_Group7_Financial analysis Pirelli.xlsx](#)

Value Drivers

We thought it fundamental to also have a look at all non-financial performance indicators that could help us better understand Pirelli's position in its market. As we understand it, Pirelli's value creation model is driven by five reinforcing pillars that shape financial performance, brand strength, and competitive positioning.

1. Premium and High Value Product Focus

Pirelli competes predominantly in high-value passenger segments ($\geq 18''$ rim size, UHP, EV-optimised tyres), where pricing power, margins and brand loyalty are significantly higher than mid-tier categories. This focus defines product development, marketing, and channel selection.

2. Technology and R&D

Continuous investment in advanced material science, digital modelling, motorsport-derived innovation, and EV/HV fitments underpins performance differentiation. Pirelli allocates a higher R&D cost share than sector averages to maintain leadership.

3. OEM Partnerships

Deep integration with premium OEMs (e.g., EV platforms + performance brands) drives long-term demand visibility, strengthens credibility, and boosts replacement pull-through. OEM homologation is a core commercial engine, and not a secondary channel.

4. Geographical Balance and Market Penetration

Pirelli's revenue base is globally diversified: Europe remains the anchor market; North America and APAC drive growth. Exposure is tilted toward mature consumer demand at the high-end of the market, reducing volume volatility.

5. Brand Equity

Pirelli sustains premium pricing through brand reputation, global motorsport presence, and lifestyle marketing. Brand signals - safety, performance, design, and luxury - differentiate the product beyond technical specs.

Porter's Five Forces

Porter's Five Forces illustrate a mature yet evolving competitive structure.

Rivalry among **incumbents** (e.g., Michelin, Bridgestone, Continental, Goodyear, Pirelli) is high, with competition centered on technology, sustainability, and OEM integration rather than price.

Suppliers power remains significant, given concentration in raw material origins and freight dependence on Asian routes.

Buyers power is high: OEMs dictate stringent quality and sustainability requirements, while consumers are also setting higher standards regarding safety and sustainability.

Threats of **new entrants** are moderate: capital intensity, regulatory compliance, and brand reputation create substantial entry barriers. Nevertheless, Asian producers are expanding within Europe to bypass trade restrictions and capture more market shares.

Substitutes are limited, yet alternative mobility models, improved public transport, and tyre retreading practices could reduce replacement frequency over time.

Against this backdrop, several key success factors define leadership in the tire and mobility sector. Technological innovation, from advanced compounds to smart, connected tires is critical to meeting EV and regulatory demands. Sustainability leadership is equally vital, encompassing carbon-neutral operations, circular materials, and transparent supply chains. Brand reputation and OEM partnerships underpin trust and ensure alignment with next-generation vehicle platforms. Operational efficiency, cost discipline, and resilience to commodity and energy volatility determine financial stability, while strategic agility, including digital sales and data-driven services, enhances customer engagement.

Pirelli's strategic positioning exemplifies these imperatives: a focus on the High Value segment, alignment with premium and electric vehicle manufacturers, and deep commitment to environmental and technological innovation. As the industry advances toward a decarbonized, digitized mobility ecosystem, success will hinge on the capacity to balance performance, sustainability, and profitability in a landscape of accelerating change.



Currency and Reporting Standards

Currency Exchange Rates

When computing the financial indicators for the competitors, we run into the issue of having to compare different currencies. Hankook is a south-Korean group and thus uses south-Korean won (KRW) and Toyo is Japanese and issues their financial results using Japanese yen (JPY).

In order to convert those currencies into euros, we retrieved each year's average currency exchange rate from the European central bank website.

	2020	2021	2022	2023	2024
Exchange Rate (KRW/€)	0,0007432	0,0007385	0,0007363	0,0007078	0,0006778
Exchange Rate (JPY/€)	0,008196	0,008207	0,007699	0,007245	0,006579

Figure 30: Average currency exchange rate 2020-2024

Differences between Japanese GAAP and IFRS

After selecting Toyo Tyre for our competitor analysis, we realized they used Japanese GAAP for their financial statements. While the Japanese GAAP has converged with IFRS in many areas, there are still key accounting differences, particularly in presentation, measurement, and classification of certain items. One of the differences in presentation is the use of Extraordinary Items in the Japanese GAAP consolidated

income statement. These would normally be presented as Operating Income or Expenses with IFRS standard. A further difference between J-GAAP and IFRS relates to depreciation methods. Under J-GAAP, companies have traditionally used the declining-balance method for depreciating property, plant, and equipment. Under IFRS, companies more commonly use the straight-line method.

Common Size Analysis

Balance Sheet

Asset Analysis

Through vertical analysis of Pirelli's balance sheet, it is evident that in 2024, current assets represent 32% of total assets, while non-current assets account for 68%. A significant portion of the non-current assets is comprised of intangible assets (59%) and property, plant, and equipment (33%). Notably, intangible assets such as the Pirelli brand, which has an indefinite useful life, are considered a key competitive advantage for Pirelli.

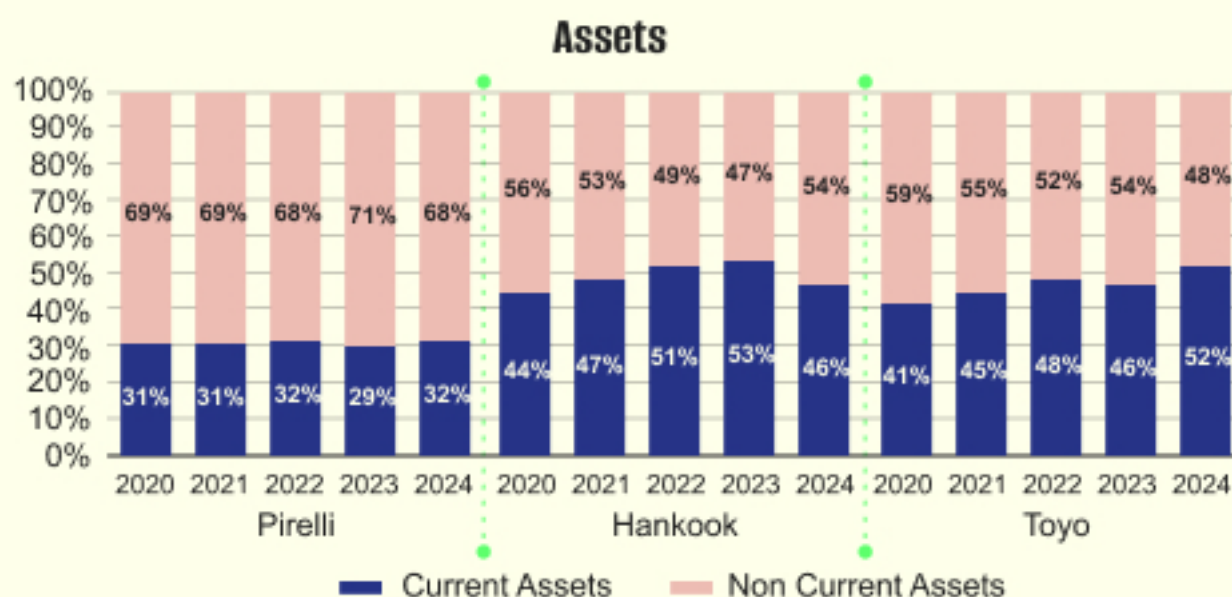


Figure 31: Asset Analysis of Pirelli, Hankook, and Toyo

The asset composition of Pirelli from 2020 to 2024 has remained stable, with current and non-current assets consistently accounting for approximately 30% and 70%, respectively, highlighting that Pirelli operates smoothly based on the existing production capacity. Furthermore, this high proportion of non-current assets aligns with the characteristics of the capital-intensive tyre manufacturing industry.

For Hankook, the asset structure is like Toyo, with the share of current assets increasing from 44% in 2020 to 53% in 2023. This upward trend is mainly driven by the fast growth of current assets (particularly cash and cash equivalents, receivables, and inventories), while non-current assets remain broadly stable. However, in 2024 the proportion of current assets falls sharply to 46%, reflecting a significant expansion in non-current assets, driven by increased long-term investments.

However, Toyo's asset composition differs slightly, with a higher proportion of current assets. The share of current assets increased from 41% in 2020 to 52% in 2024. This rise can be attributed to higher inventories, receivables, and cash, coupled with a slower expansion of long-term assets. This suggests that Toyo is becoming more working capital-intensive, shifting focus from heavy long-term investments to increased liquidity.

Equity & Liabilities analysis

Both Pirelli and Toyo behave a similar trend in their equity and liability structure. Non-current liabilities show a downward trend, while equity steadily increases, and current liabilities remain relatively constant. An exception to this trend occurs in Toyo's 2022 data, where there is a sharp reduction in non-current liabilities, reflecting significant repayment of long-term borrowings by Toyo during that year. This is accompanied by a notable rise in current liabilities in 2022, driven primarily by an increase in accounts payable.

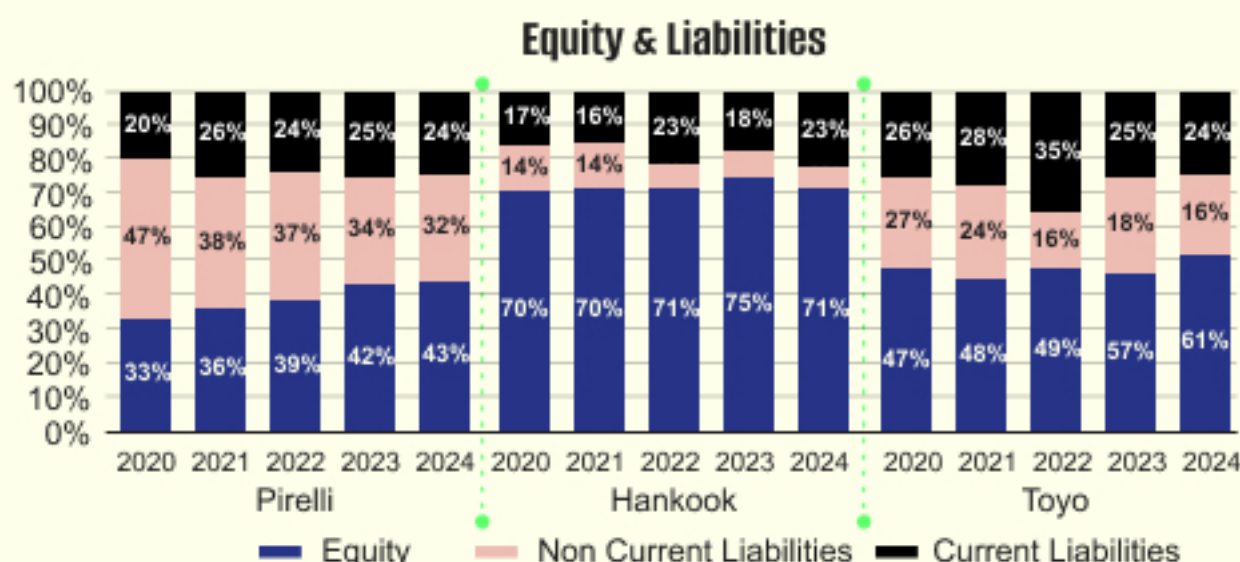


Figure 32: Equity & Liabilities - Pirelli, Hankook, and Toyo

For Pirelli, these changes highlight a clear debt management strategy focused on reducing long-term borrowings from banks and financial institutions. The consistent increase in equity, largely due to accumulated reserves, reflects the company's ongoing profitability and successful retention of earnings.

In contrast, Hankook exhibits a different evolution in its equity and liability structure. From 2020 to 2024, the share of non-current liabilities declines sharply from 14% to 6%, while current liabilities fluctuate within a relatively wide range. The key inflection point occurs in 2022, when non-current liabilities are effectively halved and current liabilities increase to 23%. This shift is largely explained by a rebalancing of the debt profile, with an increase in short-term borrowings accompanied by a reduction in long-term borrowings, leading to a structurally lower weight of non-current liabilities in Hankook's capital structure.

Income Statement

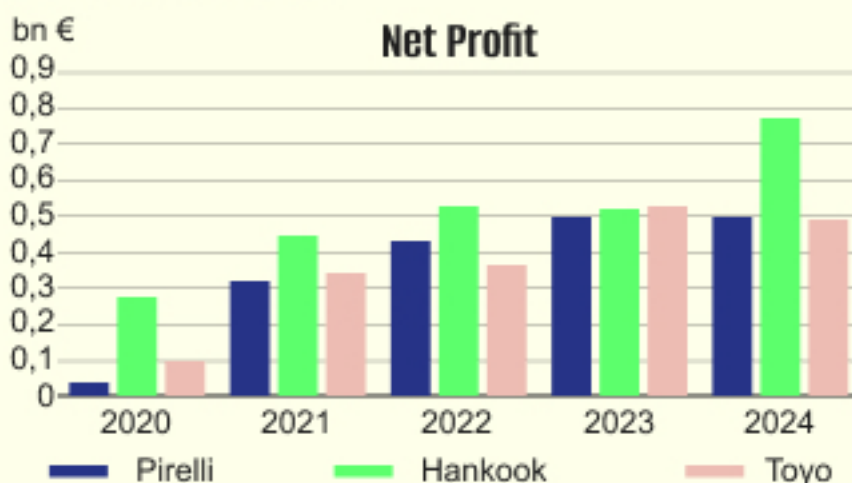


Figure 33: Net profit Benchmark 2020-2024

The two graphs provide insights into both the absolute value and the net profit trend over the years.

In 2020, due to the impact of the COVID-19 emergency, Pirelli's revenue experienced a sharp decline, which led to a low EBIT. The net profit was particularly low also due to net losses from equity investments and high financial expenses. As shown in the Net Profit Absolute Value Figure, the net profit trend in 2020 was around -90%.

From 2021 to 2024, Pirelli's net profit consistently increased, particularly in 2023 when it not only recovered but exceeded the 2019 level. This improvement was driven by steady revenue growth, alongside strategic investments. However, the growth rate of net profit began to slow down from 2022, when a rebound growth of 653.62% was achieved in 2021. In 2024, the growth rate declined to just 1.05%, suggesting that Pirelli may need to explore more productive levers to drive both revenue and net profit in the future.

For Hankook, there is no dramatic rebound in 2021, partly because its profitability was less affected by the Covid-19 pandemic. In 2021–2022, the increase in net profit is supported not only by higher operating profit, but also by positive net financial and other non-operating income, which keeps the effective tax rate relatively low.

In 2023, EBIT and EBT rise further, but the benefit is largely offset by a much higher tax expense and the depreciation of the KRW against the euro, so net profit in euros is slightly below the 2022 level. By contrast, in 2024 EBIT and EBT also increase sharply while tax expense remains broadly unchanged, leading to a strong

rise in net profit and indicating that operating performance has become the primary driver of net profit growth.

In contrast, Toyo's net profit model displays a different pattern. For Toyo, there was a rebound trend in 2021, with net profit growth of 249.62%. In 2023, net profit surged due to higher revenue and a significant reduction in SGA expenses, which directly improved EBIT. In 2024, despite an increase in Toyo's net profit in local currency (yen), due to the strong depreciation of the yen against the euro, the Foreign Exchange translation effect more than offset the growth, thus net profit expressed in euros appeared lower than in 2023, reflecting a negative net profit trend.

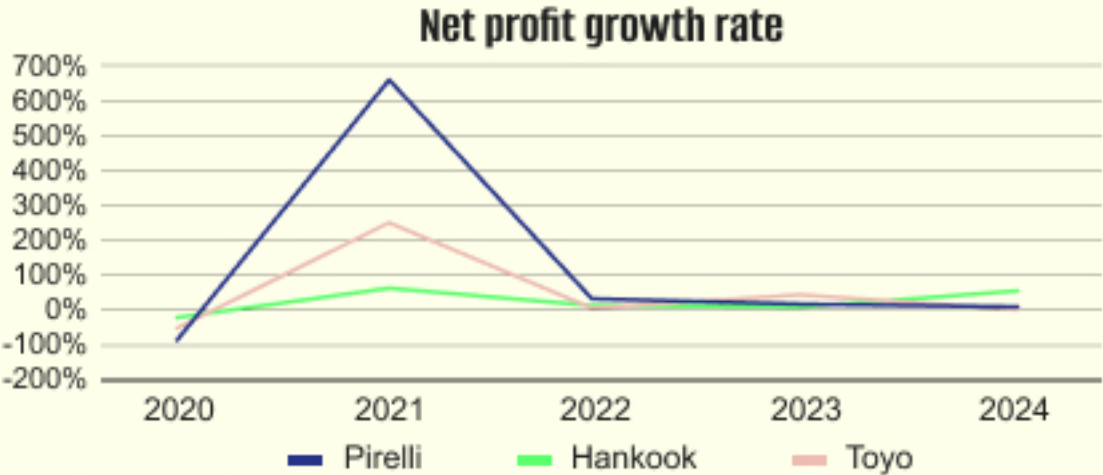


Figure 34: Net Profit Growth Rate Benchmark 2020-2024

Value Chain Analysis

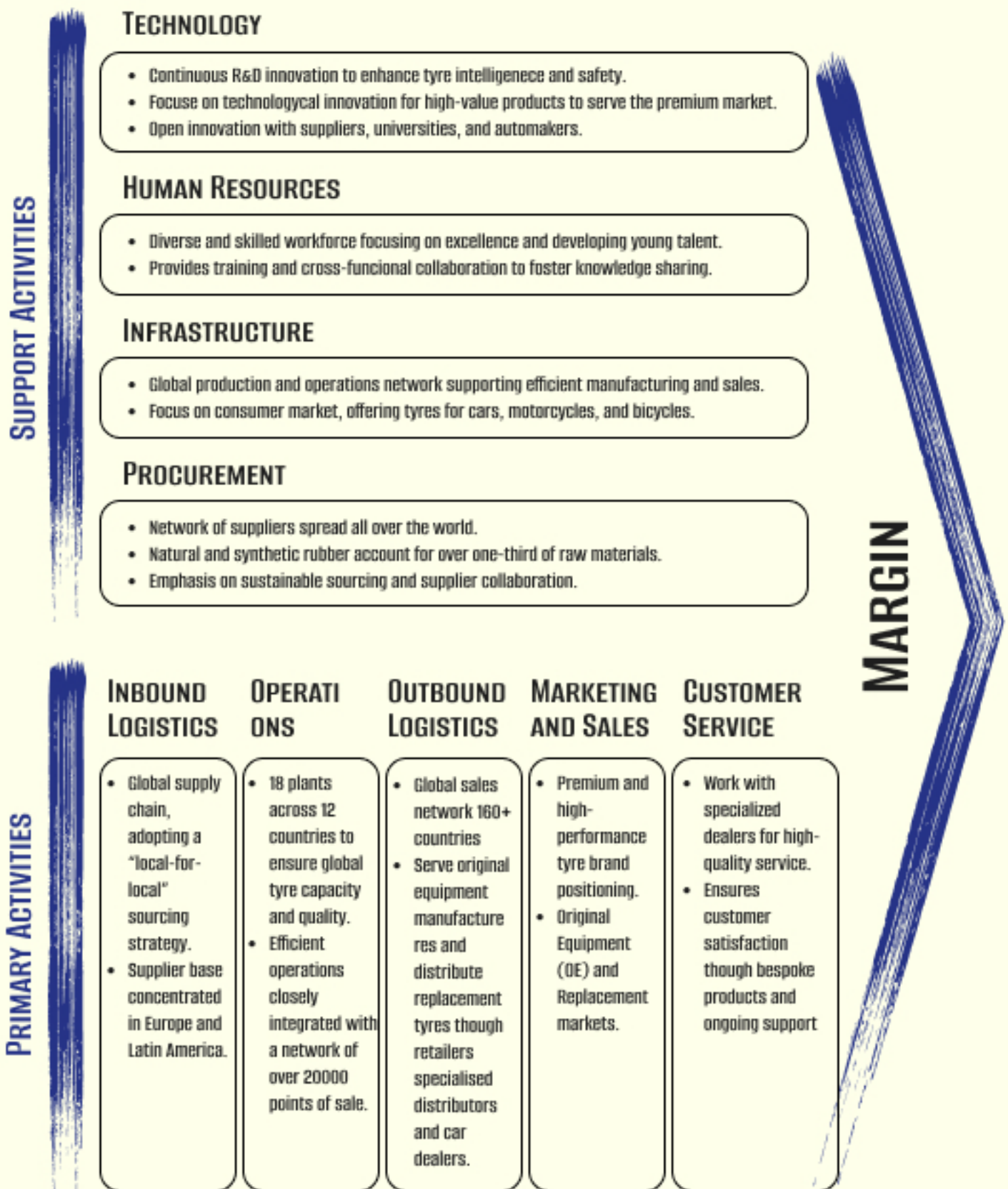


Figure 35: Pirelli's value chain analysis

Competitor Selection

Expanding on the selected competitors for qualitative comparisons

To identify the most appropriate competitors for Pirelli, we examined the major companies operating in the global tyre-manufacturing industry.

Adopting an analytical approach, we ranked these companies by their similarity to Pirelli using a weighted scoring function (refer to annex 8.6 for details on the weighted scoring function).

For this assessment we considered nine key players:

Michelin, Bridgestone, Goodyear, Continental, Hankook, Yokohama, Sumitomo/Falken, Toyo Tyres, and Nokian Tyres.

COMPANY	FOUNDED	HEADQUARTERS	CURRENCY (ANNUAL REPORT)	REVENUE EUR 2024	MARKET CAPITALIZATION EUR 2024
Pirelli	1872	Milan, Italy	EUR	€6,77 bn	€5,51 bn
Hankook Tyre & Technology	1941	Seoul, South Korea	KRW (KRX Reported)	€6,37 bn	€3,02 bn
Toyo Tires	1945	Itami, Hyogo, Japan	JPY	€3,71bn	€2,31 bn
Michelin	1889	Clermont-Ferrand, France	EUR/ consolidated	€27,19 bn	€22,82 bn
Bridgestone	1931	Tokyo/ Kurume, Japan	JPY	€29,14 bn	€22,21 bn
Goodyear	1898	Akron, Ohio, USA	USD	€18,14 bn	€2,56 bn
Continental	1871	Hanover, Germany	EUR	€39,71 bn	€13,0 bn
Yokohama	1917	Hiratsuka, Japan	JPY	€7,20 bn	€3,29 bn
Sumitomo/Falken	1909	Kobe, Japan	JPY	€7,9 bn	€2,87 bn
Nokian (Predecessors since start early 1900s) Corporate 1988 OEM focus		Nokia, Finland	EUR/ reporting FX from EUR/SEK	€1,28 bn	€1,01 bn

Figure 36: Company Overview

Accounting period is the same for all: Calendar year (Jan 1 – Dec 31 2024)

Product Portfolio Comparability

We evaluated the comparability of each competitor in terms of product offerings. This involved mapping all tyre categories Pirelli operates in, and comparing them against the portfolios of the selected companies.

The resulting matrix provides a proxy for how directly each manufacturer competes with Pirelli across strategic segments, and highlights the areas where their product focus overlaps or diverges.

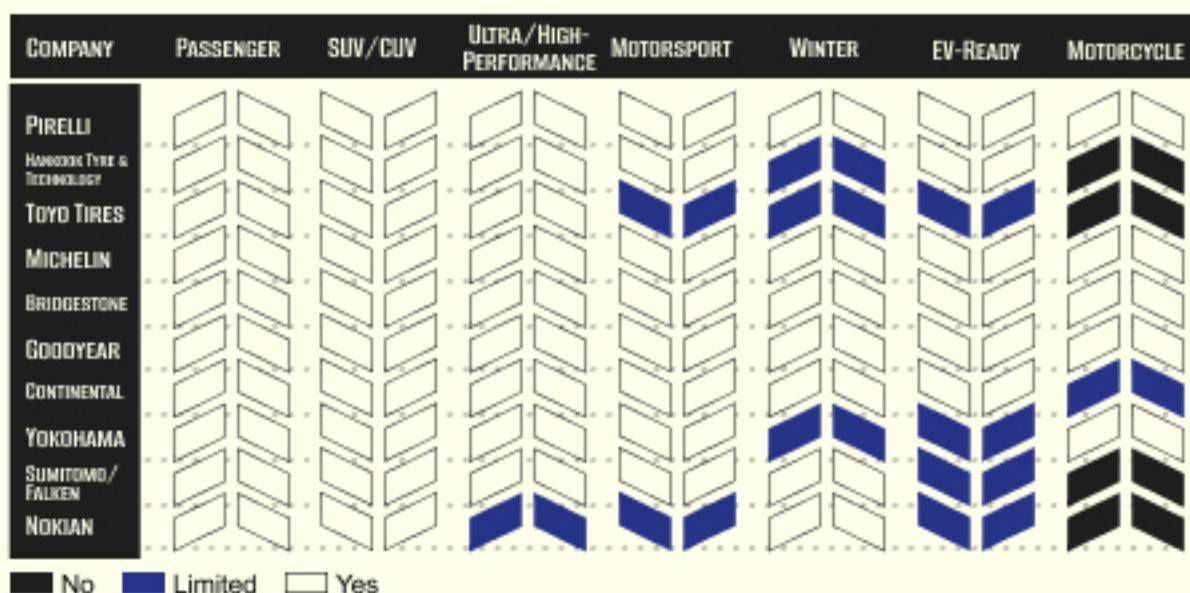


Figure 37: Products offering comparison among different tyres manufacturers

- **Hankook is the closest competitor to Pirelli** → strong portfolio overlap in passenger, SUV/CUV, and UHP tyres, with EV-ready exposure and closely aligned revenue scale.
- **Toyo is a valid secondary competitor** → partial overlap in UHP and performance tyres and a narrower portfolio, but revenue and asset scale remain close enough for clean benchmarking.
- **Sumitomo and Yokohama** show moderate overlap → compete in core segments but lack depth in EV-ready and premium categories.
- **Michelin, Bridgestone, Goodyear, and Continental** show low comparability → full portfolio coverage but excessive scale and diversification distort benchmarking.
- **Nokian** is not comparable → niche, winter-focused portfolio and materially smaller scale.

Variable Definition and Weight Allocation (expanded)

We then evaluated the comparability of the selected competitors using a set of quantitative and strategic variables that describe the overall scale, technological commitment, and operational profile of each tyre manufacturer. The following items were considered:

1. **Revenues:** to assess similarities in market performance and overall scale in the global tyre industry.
2. **Total Assets:** as an indicator of comparability in terms of production capacity, capital intensity, and long-term investment structure.
3. **R&D intensity (R&D / Revenues):** to evaluate each company's commitment to innovation, product development, and long-term competitive differentiation.
4. **Number of Employees** used as a proxy for the organizational dimension and operational footprint.
5. **Product Portfolio Similarity:** already derived in Step 1, used as a measure of how closely each company competes with Pirelli in terms of tyre categories and customer needs.

COMPANY	REVENUE (EUR)	TOTAL ASSETS	R&D/ REVENUE	EMPLOYEES	PORTFOLIO BROADNESS (1-7)
Pirelli	€6,77 bn	€13,68 bn	4,27%	31'219	7
Hankook Tyre & Technology	€6,37 bn	€10,74 bn	2,68%	20'000	5
Toyo Tires	€3,71bn	€4,75 bn	1,39%	11'300	3
Michelin	€27,19 bn	€37,35 bn	2,90%	129'800	7
Bridgestone	€29,14 bn	€35,03 bn	2,90%	121'464	7
Goodyear	€18,14 bn	€20,14 bn	2,25%	68'000	7
Continental	€39,71 bn	€36,96 bn	7,30%	190'159	6
Yokohama	€7,20 bn	€1,14bn	1,80%	34'198	5
Sumitomo/Falken	€7,90 bn	€8,82 bn	3,00%	38'000	5
Nokian	€1,28 bn	€2,42 bn	1,90%	3'850	3

Figure 38: Quantitative competitors assessment

Every numerical driver for each competitor was compared directly to Pirelli's reference value, calculating the absolute distance between the two and normalizing it over Pirelli's corresponding metric. This allowed us to quantify how far each company diverges from Pirelli in terms of scale, investment intensity, and organizational structure. The normalized distance was then multiplied by the predefined weight assigned to each driver.

To avoid negative contributions and maintain consistency with the methodology, the resulting value was constrained to the maximum between zero and the calculated score.

The formula adopted for the computation is:

$$\text{Company Score} = \max \left[0; \left(1 - \frac{|\text{Competitor Value} - \text{Pirelli Value}|}{\text{Pirelli Value}} \right) \cdot \text{Driver Weight} \right]$$

COMPANY	REVENUE (EUR)	TOTAL ASSETS	R&D/ REVENUE	EMPLOYEES	PORTFOLIO BROADNESS (1-7)	TOTAL
Pirelli (weight)	0.300	0.200	0.200	0.150	0.150	1.000
Hankook Tyre & Technology	0.282	0.157	0.125	0.096	0.107	0.768
Toyo Tires	0.164	0.069	0.065	0.054	0.064	0.418
Michelin	0.000	0.000	0.136	0.000	0.150	0.286
Bridgestone	0.000	0.000	0.136	0.000	0.150	0.286
Goodyear	0.000	0.106	0.105	0.000	0.150	0.361
Continental	0.000	0.000	0.000	0.000	0.129	0.187
Yokohama	0.281	0.017	0.084	0.135	0.107	0.625
Sumitomo/Falken	0.270	0.129	0.141	0.083	0.107	0.744
Nokian	0.057	0.035	0.089	0.019	0.064	0.264

Figure 38: Computation of company score

The values 0.000 are intentional, not an error.
whenever

$$\frac{| \text{Competitor Value} - \text{Pirelli Value} |}{\text{Pirelli Value}} \geq 1$$

The term inside the max() becomes $\leq 0 \rightarrow$ driver score = 0.

Hence large multinationals collapse on revenue, assets, and employees despite being much stronger firms.

- **Hankook, Sumitomo, and Yokohama** score the highest vs **Pirelli** $\rightarrow$ closest competitive profiles.
- **Toyo** scores mid-level $\rightarrow$ weaker on scale, workforce, assets, but still relevant via product overlap.
- **Michelin, Bridgestone, Goodyear, and Continental** score 0 due to size distortion $\rightarrow$ too large for clean benchmarking.
- **Nokian** lowest score $\rightarrow$ strong niche brand, not structurally comparable.

Hankook Tyre & Technology and **Toyo Tyre** stand out as the most comparable companies to Pirelli, across size, product mix, and market proximity.

Competitor Presentation

Hankook Tyre & Technology Co., Ltd.

South Korean global tyre maker focused on passenger, SUV, light truck and commercial tyres; heavy investment in premium, EV and motorsport exposure (Formula E, WRC).

1. **Business segments:**

Tyre sales are essentially the vast majority of consolidated revenue à Hankook & Company group shows complementary operations (mobility services, future tech investments) but the tyre business is the revenue engine

2. **Product offerings:**

Premium performance tyres (UHP), OE fitments for major OEMs, winter & summer lines, all-season, truck & bus tyres, motorsport lines, also a growing R&D/product push for EV-specific tyres and low rolling resistance models

3. **Market focus & footprint:**

Supplies to 160+ countries; manufacturing in several countries (Korea, China, US, Hungary, Indonesia and others); global R&D centers (5+) and proving grounds

Overlap with Pirelli / Differentiators

- Overlap: Competes in premium UHP tyres, OE high-value fitments and in EV tyre development à direct Pirelli competitor on many premium OEM programs
- Differentiators: Faster capacity expansion for mainstream premium segments, strong pricing & growth in North America and Europe; two-brand strategy (Hankook + Laufenn) gives it both premium and volume playbooks. Heavy focus on performance EV tyres (ION)

Toyo Tyre Corporation (TOYO)

Japanese tyre maker with a strong presence in North America, Japan and APAC. Toyo is more concentrated on the tyre business but also reports an Automotive parts segment

1. **Revenue % by segment:**

Tyres represent around 90% of net

2. **Product offerings:**

High-performance tyres for passenger cars, SUVs, light trucks, commercial vehicles; motorsports tyres; specialty tyres; global aftermarket and OE. Toyo is well known in North America for performance/all-terrain tyres (e.g., Open Country series)

3. **Market focus & footprint:**

Manufacturing in 5 countries (Japan, US, China, Malaysia, Serbia) and sales/subsidiaries in >120 countries/regions

Overlap with Pirelli / Differentiators

- Overlap: UHP and performance replacement tyres (competes in high-value replacement in NA/EU/Asia). Not as focused on ultra-premium OEM fitments for luxury automakers as Pirelli, but competes in niche UHP segments
- Differentiators: Strong North American market presence and higher share of sales from the tyre business (less diversified)

AI Analysis - Chats

Profitability

Prompt 1:

I'm providing two CSV files for analysis:

1. Pirelli's complete financial statements (Cash flow, Income statement and Balance Sheet)
2. Calculated financial indicators for three companies: Pirelli, Toyo Tires, and Hankook

Please conduct a comprehensive financial analysis following this structure:

1. Pirelli Profitability Analysis

- Examine key profitability metrics (gross margin, operating margin, net margin, ROE, ROA)
- Identify trends over the time period covered
- Highlight any significant changes or patterns in profitability drivers

2. Competitive Benchmarking

- Compare Pirelli's financial indicators against Toyo Tires and Hankook
- Identify Pirelli's relative strengths and weaknesses
- Note any industry patterns or outliers

3. Key Insights & Patterns

- Summarize the most important findings
- Provide context for any anomalies or notable trends

Please present the analysis clearly with specific figures to support your observations.

Answer 1:

Based on the analysis of the provided financial statements and calculated indicators for Pirelli, Toyo Tires, and Hankook (2020–2024), here is the comprehensive financial analysis.

1. 1. Pirelli Profitability Analysis

Pirelli has demonstrated a strong recovery and growth trajectory following the 2020 pandemic impact, steadily improving both its top-line revenue and operational efficiency.

Profitability Drivers & Trends:

- **Operational Efficiency:** Pirelli successfully more than doubled its Operating Margin from 5.1% in 2020 to 13.3% in 2024. This indicates strong cost management and potentially a better product mix (likely shifting towards high-value tires), allowing profit growth to outpace revenue growth.
- **Revenue Scale:** Revenues grew by approximately 57% over the period (from €4.3B to €6.8B), providing the scale necessary to cover fixed costs and improve margins.
- **Net Income Recovery:** Net income surged from a low of €43M in 2020 to over €500M in 2024. However, the Net Margin has plateaued around 7.4% in the last two years, suggesting that further gains may be limited by non-operating costs (e.g., interest expenses).

AI Analysis - Chats

Profitability

1. 2. Competitive Benchmarking (2024)

When compared to its peers Toyo Tires and Hankook, Pirelli shows solid operational improvements but lags in overall returns and capital structure efficiency.

Strengths & Weaknesses:

- **Weakness - Financial Leverage:** Pirelli is significantly more leveraged than its peers, with a Debt-to-Equity ratio of 1.31 compared to Hankook's 0.42 and Toyo's 0.65. This high debt burden likely results in higher interest expenses, which drags down the Net Margin (7.4%) despite a respectable Operating Margin (13.3%).
- **Weakness - Asset Turnover:** Pirelli has the lowest Asset Turnover (0.50) among the three. This implies Pirelli generates less revenue for every Euro of assets held compared to Toyo (0.78), suggesting a more capital-intensive business model or less efficient asset utilization.
- **Strength - Consistent Improvement:** While trailing in absolute values, Pirelli has shown the most consistent year-over-year improvement in margins since 2020, demonstrating a successful turnaround strategy.

1. 3. Key Insights & Patterns

- **The "Leverage Paradox" at Pirelli:** Typically, high financial leverage (debt) amplifies ROE. However, Pirelli has the highest leverage but the lowest ROE (8.5%) compared to Toyo (19.4%). This is due to its lower Return on Assets (6.6%). The cost of carrying this debt and the lower asset turnover are dampening shareholder returns.
- **Toyo's Efficiency Dominance:** Toyo Tires is the clear outlier in efficiency, generating the highest Net Margin and ROE. This is driven by its superior Asset Turnover (0.78)—it generates significantly more sales per unit of asset than Pirelli.
- **Dividend Policy Shift:** Despite lower comparative returns and higher debt, Pirelli has aggressively increased its Payout Ratio to 44.9% in 2024 (vs. ~21% for Hankook and ~3% for Toyo). This signals a management focus on returning cash to shareholders, potentially to compensate for the lower growth/ROE profile.
- **Industry Health:** All three companies show healthy, positive margins and growing profitability metrics from 2020 to 2024, indicating a robust post-pandemic recovery for the tire industry overall. However, Asian competitors (Hankook, Toyo) currently display leaner capital structures and higher profitability margins than their European counterpart.

AI Analysis - Chats

Liquididy

Prompt 2:

Please conduct a comprehensive liquidity analysis following this structure:

1. Pirelli Liquidity Analysis

- Examine short-term liquidity position (current ratio, quick ratio, cash holdings)
- Analyze cash flow generation (operating cash flow, free cash flow trends)
- Assess working capital management efficiency (cash conversion cycle, days receivables/inventory/payables)
- Identify one-off effects or accounting adjustments affecting liquidity metrics

2. Competitive Benchmarking

- Compare Pirelli's liquidity metrics against Toyo Tires and Hankook
- Contextualize differences through strategic choices (capital investment cycles, dividend policies, debt refinancing)
- Identify whether gaps represent structural vulnerabilities or deliberate management strategies

3. Key Insights & Patterns

- Summarize liquidity strengths and vulnerabilities
- Assess financial flexibility and ability to meet short-term obligations
- Evaluate whether liquidity position supports or constrains strategic initiatives
- Note trends indicating improvement or deterioration in cash management

Present findings with specific figures and explain underlying drivers rather than treating metrics in isolation.

Answer 2:

Based on the detailed analysis of Pirelli's liquidity position and cash flow statements (2020–2024), coupled with a competitive benchmark against Toyo Tires and Hankook, here are the findings.

1. 1. Pirelli Liquidity Analysis

Pirelli operates with a "lean" liquidity strategy, prioritizing cash flow generation and debt service over maintaining large idle cash buffers.

• Short-Term Liquidity Position:

- **Current Ratio:** Remains tight at 1.31x in 2024. While safe (above 1.0), it provides a thinner safety margin compared to typical industrial standards (1.5x–2.0x).
- **Quick Ratio:** At 0.84x (2024), this metric is below the critical 1.0x threshold. This indicates that Pirelli's liquid assets (cash + receivables) alone are insufficient to cover short-term liabilities; the company relies on selling its inventory to meet immediate obligations.
- **Cash Holdings:** Cash position has recovered significantly to €1.50 billion in 2024, up from a low of €1.25 billion in 2023, providing a renewed buffer against market volatility.

AI Analysis - Chats

Liquididy

- **Cash Flow Generation:**
 - **Operating Cash Flow (OCF):** Pirelli is a cash-generating engine. OCF more than doubled from €618M (2020) to €1.29 billion (2024).
 - **Free Cash Flow (FCF):** Despite increasing Capital Expenditure (Capex) to ~€404M in 2024 to support modernization, the company generated a robust €889M in Free Cash Flow. This strong internal cash generation is what makes their low-liquidity strategy viable.
- **Working Capital Management:**
 - **Receivables (DSO):** A major success story. Pirelli reduced its Days Sales Outstanding from 93 days in 2020 to 59 days in 2024. This aggressive collection strategy effectively released over a month's worth of revenue into cash.
 - **Inventory Efficiency:** Inventory Turnover remains stable at 4.61x (approx. 79 days to sell inventory), indicating consistent demand matching.
- **One-off Effects:**
 - Significant debt repayments in 2022 (€2.1B repayment outflow) and 2023 caused a temporary dip in cash holdings. The 2024 recovery suggests this deleveraging phase has stabilized.

1. 2. Competitive Benchmarking (2024)

Pirelli's liquidity profile differs structurally from its Asian competitors, favoring efficiency over safety buffers.

• **Structural Difference vs. Strategy :**

Toyo and Hankook operate with conservative « fortress balance sheets, » holding ample cash to weather prolonged downturns without stress.

Pirelli operates a leveraged model. Its low Current/Quick ratios are not necessarily a sign of distress but a deliberate capital efficiency choice. By keeping inventory moving fast (High Turnover) and collecting cash quickly (Low DSO), it minimizes trapped capital, even if it looks riskier on paper.

1. 3. Key Insights & Patterns

- **High-Efficiency, High-Stakes Model :** Pirelli's liquidity model is built on velocity. Because its Quick Ratio is below 1.0, any significant disruption to sales (e.g., a supply chain halt or demand shock) could rapidly create a liquidity crunch, as it relies on converting inventory to cash to pay bills.
- **The « DSO Transformation » :** The reduction of collection times by ~34 days since 2020 is a critical strategic win. This improvement alone likely freed up hundreds of millions in working capital, acting as a substitute for external financing during the interest rate hikes of 2022-2023.
- **Financial Flexibility :** While « tight, » Pirelli's financial flexibility is supported by its massive Free Cash Flow (€889M). As long as operations remain profitable, the company can easily service its short-term obligations.

